

Travel Food (TRAVELFOOD)

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Call: Aug 2025

19th August, 2025

To, To,
Department of Corporate Services Listing Department
BSE Limited The National Stock Exchange of India Limited
P.J. Towers, Dalal Street, Exchange Plaza, 5th Floor, Bandra Kurla Complex,
Mumbai-400 001. Bandra (East), Mumbai-400 051
Scrip Code: 544443 Scrip Code: TRAVELFOOD

Dear Sir/Madam,

Sub: Earning Call Transcript - Q1 FY2025-26 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings/conference call hosted by the Company on August 11, 2025, post declaration of Un-audited Financial Results (Standalone and Consolidated) for the quarter ended June 30, 2025.

The above information is also being uploaded on the website of the Company-
www.travelfoodservices.com.

This is for your information and records.

Thanking you,

Yours truly,
For Travel Food Services Limited

Neeta Arvind Singh
Company Secretary and Compliance Officer

Encl.: as above

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"Travel Food Services Limited
Q1 FY'26 Earnings Conference Call"
August 11, 2025

MANAGEMENT : MR. VARUN KAPUR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TRAVEL FOOD
SERVICES LIMITED
M R. VIKAS VINOD KAPOOR – WHOLE-TIME
DIRECTOR AND CHIEF FINANCIAL OFFICER – TRAVEL
FOOD SERVICES LIMITED
M S. CHHAVI AGARWAL – VICE PRESIDENT , INVESTOR
RELATIONS – TRAVEL FOOD SERVICES LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY '26 Earnings Conference Call of Travel Food Services hosted by ICICI Securities Limited. As a reminder, all participant lines

will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manoj Menon from ICICI Securities Limited. Thank you and over to you, Sir.

Manoj Menon: Hi, everyone. Representing ISEC, it's our absolute pleasure to host the first-ever quarterly results conference call of Travel Food Services. Handing over to Ms. Chhavi Agarwal from the Company, Vice President- Investor Relations, for the further proceedings. Thank you.

Chhavi Agarwal: Thank you, Manoj. Good evening to all. From Travel Food Services, we have with us Managing Director and CEO, Mr. Varun Kapur and Whole-Time Director and CFO, Mr. Vikas Vinod Kapoor, to discuss the first quarter financial performance and address the question and answer session.

Before we proceed, here's a disclaimer for the call. A few statements by the Company's management in the call will be forward-looking in nature and we request you to refer to the disclaimer in the earnings presentation for further details. We'll start the call with an opening remarks from the management, followed by the Q&A session.

I would now like to hand over the call to Mr. Varun Kapur for opening remarks. Thank you and over to you.

Varun Kapur: Yes good evening ladies and gentlemen, and thank you for joining us on the call. I would like to start by first extending my gratitude to all our stakeholders- investors, customers, regulators, employees, as well as very much our airport and brand partners, for the invaluable support extended throughout the IPO process. The trust by them and confidence through the years have been a very important contributor to achieve this milestone.

So, before we move into the quarterly performance, since this is our first earnings call post-listing, I would like to take a few minutes to briefly explain our business.

So, here at TFS, we primarily operate in two categories, travel QSR and lounges at airports. So, travel QSR is mainly the F&B outlets you see at the airports. We call it travel QSR, as it's a required attribute for all the outlets to deliver their product in a quick manner, given the time-sensitive customers at airports that we all see. Within travel QSR, we are a one-stop shop offering a whole range of concepts, formats, and cuisines.

Further, we also operate lounges at multiple airports, and the lounge business model has gained a lot of prominence in the last decade, not just in India, but globally as well. This is mainly due to the combination of increasing travel, higher disposable income, and increasing credit card adoption. Within travel QSR, we are the leading player with 26% market share and have 454 outlets as of June 30, 2025. This continues to grow as we speak.

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We are a unique multi-brand platform with 130 brands, including global and regional partner brands, as well as our own popular in-house brands. We are also the leading lounge operator in the Country with 45% market share and operate 37 lounges in India, Malaysia, and Hong Kong. So, we started our journey in 2009, and we operated airports through long-term contracts with airport operators, and they often prefer a master concession for similar services by bundling multiple units to award one concessionaire, capable of providing comprehensive F&B coverage and lo

unge services at the airports.

There are many complexities and challenges involved in operating in a restricted space such as airports- ranging from security issues, construction challenges, large back-of-house investments in stores and central kitchens, to name a few. Our ability to navigate through these complexities and successfully run the business differentiates us, and acts as a high entry barrier for others and a competitive moat for our business.

I would also like to emphasize, our business and growth has been complemented by our long-term partnerships with leading airport operators in the country. We have formed strategic joint venture partnerships with two of the largest multi-airport operators, with whom we have had the experience of working with for many years. This structure covers lounges and QSR outlets in key locations like Mumbai, Hyderabad, Ahmedabad, Navi Mumbai, Lucknow, and Goa Mopa, amongst others.

We have been successfully delivering strong performance for years and therefore we have a contract renewal rate of 94%, since the inception of our business in 2009, which is a key strength of the business, demonstrating our success in operating our existing contracts and the strength of our partnerships.

Coming to our financial performance, our focus has been always on sustainable growth, coupled with efficient capital management and a healthy generation of consistent profits. The same is also reflected in our financial performance, as our system-wide revenue and profit after tax have grown at a CAGR of over 20% consistently over the past decade and our ROCE, our return on

capital employed, which is a key statistic we look at for the nature of our business, has been steady at around 50% over the last few years.

Going forward, we see a large and fast expanding opportunity in the Indian air travel space in which we operate. We are also well positioned to scale our footprints in the international markets, with the success seen in Malaysia and Hong Kong. In addition, the highway F&B business in India is at a very nascent stage, and with the large public and private investments planned in the sector, coupled with the growth of access-controlled expressways, we do see that being an area of growth for the TFS business over the next decade, which we shall tap in a strategic and prudent manner.

So, our strategy has three key pillars- growth, optimisation of our financial performance and delivery with focus on strong people practices. As part of our strategic priorities as well, we continue to strengthen partnerships with leading global brands, including the opening of Nando's Travel Food Services Limited

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at the Delhi Terminal 3 recently, and the upcoming launch of two Gordon Ramsay concepts at Delhi Terminal 1 and Mumbai Terminal 2, respectively.

We also forged a national tie-up with Coca-Cola to further enhance our beverage offerings across outlets and rolled out a technology solution enabling direct collaborations with banking and credit card partners, eliminating intermediaries, delivering tailored solutions for distinct customer segments, driving economic value and ensuring a more seamless passenger experience. We will continuously strive to expand our business while delivering operational and capital efficiency and driving earnings, with a focus on customer experience enhancement.

So, before I move on to our quarterly performance, I would like to take a moment on behalf of the company to express our deepest condolences to the families of the people affected by the tragic Air India plane crash in Ahmedabad, that had a profound impact not only in the aviation industry, but I think as well on each and every single Indian.

Coming to the quarterly performance, our system-wide sales, which is sales including our JVs and associates that we operate, have grown at a very healthy rate of 26.7%, with like-for-like growth of 12.

5% and net contract gains of 10.1%. And this is in spite of certain temporary headwinds, that have caused moderation of air passenger growth in the quarter, as visible to everyone. These have been namely- geopolitical events of recent past as well as the after-effects of the aircraft maintenance and grounding, due to the unfortunate crash of the Air India Boeing-787 in early June. And there has been a short-term effect on the growth of passenger traffic towards the second half of the quarter. So, despite that, our numbers have grown at the level that you see here.

And we see the effects of this temporary traffic moderation continue into the current quarter with recovery trends already underway, in line with Air India's indications, suggesting the recovery is underway from August and we expect these temporary effects to return to normalcy ahead of the second half of the year as well.

In the business as well, we have a strong focus on profit generation, which is an important tenant for the business. We delivered a 59.5% year-on-year growth in reported PAT (Profit After Tax), which also equated to a 19.3% year-on-year growth in our adjusted PAT, which Vikas will also elaborate on specifically shortly, showing the robustness of our business model. This is a clear testament to the resilience of our business model and the exceptional efforts of our highly motivated team.

Now I request our CFO, Vikas Kapoor, to take you through the quarterly numbers in detail.

Vikas Kapoor: Thank you, Varun. And once again, welcome you all to the Q1 FY'26 earnings call. Before I talk about numbers, I would like to explain our commercial models that drive our revenues.

We operate our units under two key models, long-term contracts and strategic partnership arrangements. Long-term contracts are fully consolidated into our P&L and strategic partnerships are accounted as JVs or Associates under the equity pickup model. In long-term contracts, we own and consolidate the full P&L after paying a concession fee to the airport owner. As a result, we invest the complete capital into the unit.

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In joint ventures, as the operations are overseen by us, we receive a management fee for operating the units and a share of PAT of the joint venture entity as per our equity shareholding.

The capital investment is also proportionately shared along with the JV partner.

In both models, we manage the units in the same way, but the accounting treatments are different.

Therefore, we talk about system-wide sales which represent TFS-managed airports including the subsidiaries, JVs and Associates, in line with what Varun explained a bit earlier. In addition to

our long-term contracts, the JV arrangement enables us to be in a strong position to operate the F&B and lounges in many existing and new airports, operated by the multi-airport operators. Before I move to talk about our performance in detail, I would like to mention that since Semolina Kitchens was part of our consolidated financials for the first half and part of Q3 last year, we have adopted a like-for-like comparison to ensure consistency in evaluating business performance. Accordingly, Semolina's Q1 losses for FY'25 have been added back to the results. In Q2 FY'25, as Semolina turned profitable following unit mobilization, the corresponding profit will be adjusted to maintain similar comparability to Q2 FY'26 results.

Now coming to the numbers, the system-wide sales touch INR7.15 billion, growing by 26.7% Y-o-Y. As Varun brought out earlier, the growth was supported by a healthy like-for-like growth of 12.5% and net contract gains of nearly 10.1%. LFL is driven by effective revenue optimization initiatives, despite a short-term moderation in air passenger traffic growth. Net contract gains are driven by mobilization of new travel QSR outlets and

lounges at the airport, primarily at

Mumbai, Hyderabad, Ahmedabad and Lucknow airports.

If we go to consolidated sales, we have reported sales of INR3.75 billion, representing a year-on-year growth of 6.3%. Like-for-like growth for consolidated sales was 5.5%, impacted by short-term moderation in passenger traffic growth. Net contract gains showed a decrease by 2.7% year-on-year, due to expiry of a few contracts and subsequent pickup of new contracts by the JV.

Gross margin increased to 83% as lower inflation, efficient procurement strategies coupled with effective supply chain lowered production costs. Additionally, continuous focus on process optimization and operational discipline lowered other expenses as percentage of sales by more than 150bps. Share of profit from JVs and Associates was INR80 million this quarter, which was due to a one-time deferred tax adjustment, along with certain pre-operating expenses being for the units that are being mobilized as of now. Our consolidated PAT increased to INR950 million in Q1 FY '26, delivering a strong 19.3% Y-o-Y growth compared to the previous year. With that, I will close the opening remarks and will hand it back to the operator to open it for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask question may press * and 1 on the touchtone telephone. If you wish to remove yourself from question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue

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assembles. The first question is from the line of Jai Doshi from Kotak Securities. Please go ahead.

Jai Doshi: Hi, team. Congratulations on good results. Just a request in future, if you could upload the presentation a little bit earlier, so that we get some chance to go through it before the earnings call. One quick question from my end is, could you explain the seasonality in your business? Typically, if there are no net contract gains during course of a year, how should one think about profitability of 1Q and how does it progressively change from 1Q to Q3, Q4?

Varun Kapur: Hi, Jai. Good evening. Thanks for your question. This is Varun here. So, in terms of what we see in the business, which I think has been quite consistent over the last few years, is normally for us in terms of seasonality, which is why Y-o-Y is a useful indicator to see, H1 tends to be a slightly lower percentage versus H2. You could roughly consider it as being 45% H1 and 55% H2, driven by the passenger traffic.

So that ratio comes from passenger traffic is roughly 45% towards H1, 55% H2, as the holiday season, you have the months of December, January, February, where air traffic tends to be stronger. As well as consumer spend during the holiday period as well, people on leisure travel tend to spend a bit more. So that is something we have generally seen across the business. And particularly looking at and therefore you see that trend happening year-on-year and playing out in the numbers as well.

If you see in terms of particularly referring to the profitability and how that plays out over a period, I think, what one surely does see is that Q3 and Q4, with that same logic, are the quarters that do stand out, as you would see reflected in our numbers as well. And I think maybe, we can make reference to this particular quarter as well, while looking at it, traffic has been in slight moderation towards the end of the quarter. But like you said, you see those effects on normal period where Q3, Q4 would be much stronger from Q1, Q2.

Jai Doshi: Sure. Any colour you can provide which helps us appreciate the operating leverage advantage you get in 2Q, second half better? Because when we look at historical numbers, given that account

ing changes and it is a little difficult for us to sort of, or if you can just tell us broadly, everything else being same, if the revenue split is 45-55, first half versus second half, what could potentially be the profit split, first half versus second half?

Varun Kapur: Sure. I'll may be hand it over to Vikas. But before I take, I think there was a part of your question which I didn't address. I think you were talking about the net contract gain. So that may be just a perspective to give there. In our business, that tends to be a bit lumpy by nature of our business. While on a system-wide basis, we've had a growth, there in terms of new units being mobilizing across airports there. But in terms of that, it tends to be a bit lumpy. So, it's not year-on-year basis. It tends to be, may not be one quarter, but it could very well be in the next quarter you have a significant jump. That's by nature of our business where these units come in a master concession there versus obviously LFL coming consistently. But I'll may be hand it over to Vikas to address your question right now.

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Vikas Kapoor: So, Jai, as we progress quarter-on-quarter, what we see, despite the moderation in air traffic, we believe that the moderation will wear-out by the end of H1 and traffic should come back to normal, in terms of the historical trends at which it has grown. From that perspective, we are well equipped to kind of capitalize on the opportunities looking at the real estate that we operate across airports. As more units are getting mobilized, we are talking about roughly around 50 plus units that are going to be mobilized during the current year in our system. From that perspective, we believe that, yes, we are well on track to achieve our budgeted numbers. Coming back to your efficiency point, in terms of efficiency, as we have typically seen that in our real estate, we operate not only central kitchens, but central stores. And because we operate in the entire ecosystem of the airport F&B and the lounge parameters, we are able to bring in certain efficiencies due to our scale, also in-terms of manpower deployment. So those efficiencies will continue from that perspective. And our operating margin overall in H2 should only improve, looking at how we have traditionally also performed.

Jai Doshi: One more question, if I may. So, 12.5% like-for-like sales growth and 4.5% traffic growth. So, I'm assuming the balance, the gap between the two is largely driven by pricing. Is that right understanding?

Varun Kapur: It's a combination. So, it partly comes in from pricing, but partly because obviously it's been a year from that point of view. But in addition to that, I think in this particular instance, there's a large amount of initiatives around. So, a lot of new brands coming in. And if you see the number of units that have opened in that period as well, have been quite significant. So, that pushing the existing units, premiumising their offer, that plays out quite well in our LFL in terms of so we've done a lot of promotions around it. And to your point, I think, make sure the deck, I think that feedback is taken. So, we do talk about a lot of the efforts initiatives we've done there in existing units to push like-for-like sales.

So, I think that's something as a business we do consistently to push up like-for-like sales is very much the nature of the business. So, it's a combination of no doubt price, but there's a lot of efficiency gain initiatives on the ground, which translates over and above the air passenger traffic, as our numbers show.

Jay Doshi: Do you expect this to...

Moderator: Mr. Jai, I just request you to.

Jay Doshi: Sure. I'll get back in the queue.

Moderator: Thank you so much. The next question is from the line of Nihal Jham from HSBC Securities. Please go ahead.

Nihal Jham: So, two questions. One, a clarification that w

hen you've given the like-for-like growth for the consol. business and system-wide, I believe for the consol. sales, it is basically the existing airports have given a 6% LFL, whereas the system-wide, which is at 12.5% is basically the new airports which have come in. So that is what explains the differential. That's the right understanding to clarify?

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Vikas Kapoor: Yes, Nihal, you're absolutely right. The LFL for system-wide is a combination of both your consolidated numbers, as well as the JV & associates, because as Varun had spoken earlier, the system-wide sales represent revenues from the entire footprint of QSR and lounges, that are managed by TFS under long-term contracts as well as JV partnerships.

Nihal Jham: Understood that. And is it possible to get a sense, you mentioned there were disruptions towards the second half of the quarter because of certain incidents, that what was the LFL trending at before some of these incidents played out? So just to get a sense that once things normalise in H2, maybe to get a sense of how it can improve towards?

Varun Kapur: So, I think, particularly these sales, as you see, I think those incidents were primarily before starting of May, we had the geopolitical event, particularly in India with India-Pakistan happening. That had some effects on traffic, but I think it was June, the mid of June as well, where you had the unfortunate crash as well. I think those were the effects that happened towards the second half of the quarter.

So, you did see those play out and probably play out on certain particular markets, a bit more prominently. I think that's been the nature because as you know, there were slight aircrafts were partly taken off by Air India. I think it was 15% reduction in international wide-body flights and a 5% of the narrow-body flights as well. So, I think that combination was there from June as well, that drop. And you could see that particularly playing out in certain airports like maybe Delhi, it was in Calcutta, played out in Goa. So, these airports, you did see that effect probably play out a bit more versus the other airports.

But what's happened, I think, which is evident from Air India's own indication, from around August, those numbers have been coming back. We can see those green shoots very much, in our numbers in terms of the growth versus last year. I think you can see that kind of playing out from those very indications by H1 of this year, the end of H1, kind of normalizing to normalcy. When I say normalcy, I mean normalcy of the growth levels we've been quite used to. While we've been able to have consistent, strong growth, by LFL growth being still strong with our initiatives, plus the combination of new units, we've nonetheless had 26% system-wide growth as well. But I think that perspective, just for the sector, it looks to be on the trend of improvement currently.

Nihal Jham: So, Varun, would it be possible to give a sense of April or say till mid-May, what the consol. LFL and the system-wide LFL was trending at?

Vikas Kapoor: So, Nihal, the overall passenger growth, which is in the public domain, April kind of grew around 10%. But from the mid of May, it kind of tapered down due to the geopolitical events. And unfortunately, at the end of June and some bit of July, what we are seeing is the passenger traffic growth has been impacted due to the unfortunate accident of Air India crash. So, from that angle, but as Varun said earlier, we are seeing the offshoots coming.

Nihal Jham: Just one more question before I go back in the queue, that you could just give a sense of the expansion plans at Navi Mumbai and Jewar about when does it expect to operationalize, and how our units will build up through the year?

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Varun Kapur: Yes, in terms of dates, I think, Nihal what, they've

publicly announced information we can, hear

those airports particularly. We can see that and probably refer to you. So, we have currently in our system about, we're giving a broader perspective which may be helpful. We have about 70 outlets roughly under construction, which includes Navi Mumbai and Noida.

So, these outlets are actually in design, construction phase as we speak, in addition to the 491 outlets. So, we have about 454 travel QSR and 37 lounges. And that number we have, so in addition to that 70 is over and above that. That's those 491. So, that's currently in place. So, both of these airports, I believe, are opening in this particular calendar year is what is called out from their dates.

So, our constructions are well underway. Many of these outlets are even ready as we speak. And I think the dates of those airports as those come live, those units will be trending, probably in some degree of phasing, but those would be coming online in the next few quarters.

Nihal Jham: Got that. Thank you. Thank you so much.

Moderator: Thank you. The next question is from the line of Vedant Rane from Unifi Capital. Please go ahead.

Vedant Rane: Hi, sir. Congratulations on the good set of numbers. I just have one question. If it is possible to give expiry date or expiry year of key contracts such as Delhi T3 or Airport Authority of India, where you have some airports?

Varun Kapur: Some of the data we have particularly while individual contract data as you would understand would be commercially sensitive. We had in the RHP called out some of this information particularly on contracts, that was needed. So, it may be best to refer on specific contracts to the RHP. I think, it has that specific details there.

Vedant Rane: Okay, sir. And just one last question. So, Delhi T3 is now under subsidiary. Is it possible that in future it will follow same trend as GMR JV, like, will it get converted into a JV?

Varun Kapur: Currently, the entity just to clarify, it is under a subsidiary which is also a joint venture with the airport operator there. That contract when it comes up particularly because there would be different contracts there. At that point in time there may be an evaluation one would do. But that currently it is operating under already a joint venture with the airport operator. So, while it's a subsidiary, it is a joint venture with the airport operator.

Vedant Rane: Okay, sir. Got it. But the PAT gets consolidated with your Consol. P&L, right?

Vikas Kapoor: Yes. This is Vikas here. The PAT does get consolidated, but under the equity accounting method the non-owner share is kind of clarified as well, in our results.

Vedant Rane: Right. Got it, sir. Thank you so much. All the best.

Vikas Kapoor: Thank you.

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Moderator: Thank you. The next question is from the line of Akhilesh Bhatte from IKIGAI Assets. Please go ahead.

Akhilesh Bhatte: Hello. Hi, team. Congratulations on a good set of results. I have two questions. First one, mainly I just wanted to get some more colour on the deceleration in profit flowing into JV, and how do you expect that to pan out for this year?

Varun Kapur: Hi, Akhilesh. Akhilesh, if you could just repeat that again.

Akhilesh Bhatte: Yes. So, I just wanted some more colour on the deceleration in profits flowing from JV and how do you expect that to pan out for this year?

Varun Kapur: Sure. So Akhilesh, maybe to give a perspective. So, the JVs, as you know, are in the process, as we called out in the RHP as well, in the process of mobilization. And part of that mobilization, many new units are being activated as would be evident in our system-wide sales, growing as well. So, that perspective are the JVs currently where they're at.

The cost, the way it plays out is, when we mobilize new units, we tend to have pre

-opening costs,

as well as it takes us roughly 12 to 18 months of operation, for those units to operate at levels that we normally see in other units, in terms of new outlets coming in, operating them efficiently, getting them up to the PAT levels. Not that they may not reach break-even earlier, but, getting them to the required PAT levels, that we see for the rest of the mature business, it takes that bit of time as normal practice. So, most of the joint ventures, or all the joint ventures for that matter are in the state of heavy mobilizations, as we speak. And that's why, part of the cost, those would obviously as those come in, that profit would be on a trend of those costs decreasing and that's the direction there, on those joint ventures.

Akhilesh Bhatte: Got it. Thank you. And there's some more colour on your international expansion. So, how does it look like? How's the ramp up going in the new airports? And any colour for this year or any future expansions that are in the pipeline?

Varun Kapur: Sure. So, in terms of we had over the last 12 months mobilized the lounge in Malaysia. We have also mobilized the lounge in Hong Kong as well over the last 12 months. That business is trading. The business in both of these market, like I said, is in relatively early days in terms of the period and trading strongly as well.

We continue to look at new opportunities, but by nature of our business, once we have the stage where we would have an opportunity while we're constantly doing a business development program and efforts in markets that's part of our continuing strategy for this year as well. As there are any wins and victories, we would be coming here, but there is quite a well-organized and efficient effort being put in for those opportunities.

Akhilesh Bhatte: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Arvind R from Dam Capital. Please go ahead.

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Arvind R: Thank you for giving me the opportunity. I have a couple of questions. Firstly, since Airport Lounge is your major business, major contributing business, and the contracts at some of the locations like Chennai and Kolkata are about to expire. So, how do you foresee growth and is the majority of your business, which is 50% from Airport Lounge, at risk because of that?

Varun Kapur: Hi. So by nature of our business and I referred to as well earlier, so we have been operating since 2009 in this sector. And we operate both travel QSR and lounges. Then obviously, our breakup of that is quite evident. Roughly you could say, about relatively equally, from a system-wide point of view.

In terms of our contracts, I think what has been evident from the 2009 till now, a very important part of the business is contract retention. So, what we always would focus on, part of our business strategy, yes, one part is net gains and business development, which comes at certain frequencies and tends to be lumpy, but retaining contract is as much a part of development strategy.

So, we've had a retention rate in our business since 2009 of 94% of contracts. I think that's evident to the ability to perform well, as well as the long-term relationships that we have with the airport partners. So, we constantly have contracts coming up for renewal and us obviously having quite good success at renewing the various contracts, when they do come up for renewal.

Arvind R: Okay. Just to add on that, so, as your contract, as Adani is also creating a partnership with the likes of lounge operators, like Plaza Premium, and as it is evident in the news as well that there

is some friction with Adani with your partnership with Adani, so do you want to comment on that?

Varun Kapur: So, what is evident is our outlets under any joint venture are particularly called out. That's been part of our, both the numbers that are there in the RHP, as well as currently that we ha

ve in the

business. So, we have our footprint in the airport. That, I think, you see from in terms of the LFL and the net gains account for any other stores which may be operated by any other partners or anything else. So, in any point of time, we don't say we have the full market in terms of that. We have put our market share as well. I think I mentioned earlier as well, we have a 45% market share on lounges and roughly 26% on travel QSR. And what we have been seeing, the general trend is we have been increasing our market share.

So do we no point see that being overnight exercise, but that is something that generally by we believe the strengths and our focus on this particular segment, that has been happening in a steady and gradual manner. Plus, we operate in a sector that is itself growing quite well. So, I think that's been our strategy going around. We have been very clear that we operate a large amount of outlets and there's an ecosystem, there'll be different operators, different players. But I think we have been seeing consistently our market share, which is part of our strategy as well, has been growing quite well.

And plus, as airports in India, which are growing – grow larger, more airports come in the purview for what we would look at as opportunities. Because we tend to look at obviously the larger airports because of our product mix, what we do on lounges, what we do on premium Travel Food Services Limited

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travel QSR. As airports grow larger, they tend to be airports that we would look at in terms of taking our model to.

Arvind R: So just to add on that, so the airport operators now are coming up with their lounges like at Bangalore T2 and GMR as well as the Lounge. I mean, won't they be able to make you walk up business if they come up with their own?

Varun Kapur: Could you repeat that question? Your voice was a little muffled, if you don't mind.

Arvind R: So, I will repeat again, airport operators also have their own lounges, like at Bangalore Terminal 2 and GMR is also coming up with its own lounges. So how do you cover up that risk?

Varun Kapur: So, I think so different airports have different players which may be doing individual lounge opportunities. I am not aware of GMR doing its own lounges. I don't think that's a reality. But I think there, for example, there is one in Delhi, like the new one I know at T1 is operated by Encalm. So, there would be different operators there, which is very much part of the ecosystem. And we would have market leadership, but nowhere do we say we have 100% of the market. That's the opportunity of growth that's there in any market. So, those would no doubt operate in different markets t. But I think that information may be slightly incorrect in terms of there. But you would have different lounges, could be done by different operators, could be joint ventures with the airport operators.

Moderator: Hello, Mr. Arvind. Does that answer your question? The next question is from the line of Dhiraj Mistry from ICICI Securities. Please go ahead.

Dhiraj Mistry: Yes. Hi. Good evening, sir, and congratulations on a good set of numbers. Sir, one question regarding your, no doubt your disclosure is better. But the disclosure which you had in DRHP that in terms of revenue from the lounge and QSR, can you give that break-up for the quarter?

Varun Kapur: Hi, Dhiraj. Sure. If you just give us some time to just look up, so we can refer to that and answer your question.

Vikas Kapoor: So, Dhiraj, our overall breakdown between travel QSRs and lounge for Q1 FY'26 is roughly around 50% via travel QSRs and around 46% via the lounges business.

Dhiraj Mistry: Got it. And what was that in the base year, sir?

Vikas Kapoor: So, in the base year, it was on a similar plan, roughly around 48% again in travel QSR and around 50% in the lounges section. So

, that's where we are.

Dhiraj Mistry: Yes. And this you are talking on consolidated sales, that is on system level sales or consolidated sales, reported sales?

Vikas Kapoor: This is on system-wide sales because from all practical aspects, we do monitor what we manage and operate at a system-wide, both the travel QSR and lounges, because for that same services, we do get also a management fee.

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Dhiraj Mistry: Got it. Got it. And, sir, second question is regarding your QSR business. So, if we take a slightly

longer, let's say over the last 5 years period, what is your life-for-life growth? And if you can divide that between pricing growth and traffic-led growth over the long-term period. So that it would be very helpful as an analyst to forecast the growth going ahead.

Varun Kapur: Yes. So, we may not have those numbers handy. We're happy to engage if you could send that communication and we can probably get back to you particularly on that breakup over a longer period of time, but what is evident is the last decade we've seen those numbers. We've had a consistent more than 20% CAGR. That's with obviously COVID in between.

But I think from point-to-point, CAGR has been more than 20% in terms of our sales growth as well system-wide, plus PAT has been even larger than that. So, that's been the general trend of the business over a long period of time. In terms of specific areas carve out of that, if you'd be able to reach out, we could be happy to engage with you and share some of that. We don't have that handy, for a longer period of time right now.

Dhiraj Mistry: Got it. And, sir, last question, the gross margin expansion, what we have seen during the quarter at the adjusted sales level, what are the reasons for that? Is it purely the mix or is there any pricing element also in that?

Vikas Kapoor: So, Dhiraj, I'll take this one. So, the gross margin improvement is mainly due to the lower food inflation and efficient procurement strategies, as I had called out, coupled with that effective supply chain management, which kind of lowered all the overall COGS. Additionally, because of the real estate and the volume that we manage, we have negotiated our annual contracts with suppliers effectively, given the increase in scale of operations.

Dhiraj Mistry: Okay. Thank you. That's it from my side.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from IKIGAI Assets. Please go ahead.

Rahul Agarwal: Hi, good evening. This is Rahul from IKIGAI Assets. Just continuing on the questions asked earlier on lounge versus QSR, more on the growth trends, next three years, if you can talk about how would you foresee your growth between these two formats? Will it be similar, or one would be higher or lower? And secondly, on the same question, from a return on investment perspective, what is more lucrative? That's the first question?

Varun Kapur: Yes. Hi, Rahul. So generally, Rahul, I think from a perspective, see a lot of the dynamics that drive passenger spending in airports tend to be passenger growth. Those tend to be quite common among both businesses.

In our RHP particularly, there's a call out around the expected, the industry report over the next 10 years. Both are expected to grow quite similarly, at a 20% CAGR over a 10-year period with, I think, lounges expected to go slightly more, because the extra kickoff credit card, other penetration, premiumization of airlines, white bodies, etcetera. So those areas, but generally we see these as being quite similar in-terms of the dynamics and the growth expected in both of these sectors.

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For us particularly, obviously year-on-year you may get some opportunities in a particular year on travel QSR and lounge. So, quarters and individual years, yo

u may have one growing slightly

above. But I think from a general trend, structurally both are in quite a strong perspective.

Consumers in both areas are eating at airports, want premium experiences at airports. So that, I think, generally is very evident to grow together.

I think for us probably the additional area is we're also looking at lounges internationally as well. So over and above the current growth expectation in India, we do see that as in the medium term opportunity. And a longer-term opportunity on travel QSR, which we called out as well, was the highway opportunity. The significant private and public investments happening on highways, we see that as an opportunity in the long-term as that ramps up, for us to take the travel QSR opportunity there as well. So those are additional drivers of growth we see, for each of the segments.

Rahul Agarwal: Got it. And for both these formats, because you've been operating both formats for a long time, would you just talk about a bit of innovation, or maybe some global benchmarks, which you have tried to get to the Indian market, and how are you doing things differently, purely from an operations perspective?

Varun Kapur: Sure. Maybe I can touch on maybe one-one aspect for both. There's a list of things, maybe one-one aspect, I could address in the question. So, for example, in terms of the travel QSR side, brands are a big part of our portfolio. What separates us from peers in the segment and makes TFS stand out, is our brand relationships. So, we currently have 130 brand relationships as of June-end.

Some of the ones I did allude to in the call, but maybe just reinforcing that again, we had earlier, we did Nando's recently, again, a global leading brand. The first one at the airports in India. We did that at Delhi Terminal 3. We also are getting one of the world's most prominent chefs,

Gordon Ramsay. Two of his concepts we're launching shortly in India. So, one is going to be at Delhi Terminal 1. That's launching shortly this month. And then subsequently Mumbai Terminal 2 as well.

So those brand relationships, the brands we get, is a big separator, that allows us to get incremental customer spend, and also premiumization. You're playing that opportunity, which I think from an Indian consumer point of view, I think we're Indian consumers more than ready for some of the concepts that are world leading in premium. And actually, the demand sometimes I would think is actually more than most other parts of the world. Actually, our consumer here, is looking for those type of experiences. So, I think that's one driver there, we do see, to drive upside.

In addition, on lounges, there are various initiatives, but I think one thing we're doing, for example, is we are increasing and cementing much more deeper, our tie-ups, our relationship, with our lounge partners there. So, we've actually developed a technology platform, integrated one, there ourselves, to do direct tie ups with our banking and credit card network partners, where we can actually tie up directly. So, it provides a much direct consumer and a seamless consumer experience. It doesn't go through aggregators or intermediaries. It's a direct tie up.

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Customer experience on the ground is much better. It's an integrated single platform. You know, it doesn't matter what you have. It's a much more seamless experience.

We can address different cohorts, right, depending on the card. You have an X card for this customer cohort versus Y, because today lounges is one experience. But by having a direct tie up, you can actually partner with our credit card networks and banking partners much deeper, and create different experiences, because we see the consumer directly. We can create different experiences for each credit card. You know, whether you have X card or Y card, the nature of the consumer for our partners, we can

create those, and ultimately, that is where we see an opportunity, which also would potentially margin accretive in the long term as well.

Rahul Agarwal: Got it. And just your comments on the return on investment for lounge versus QSR. Is there any difference, or both are similar?

Varun Kapur: So, return on investment tends to be quite similar, because the way we approach, this is a portfolio approach. For us, we look at it not from a single brand. Sometimes, we always say that even within travel QSR versus lounges, within travel QSR, there's probably more variation than between travel QSR and lounges itself, because within travel QSR, you have your normal QSR outlets, what you traditionally call the high-street, but you also have casual dine, you would also have in bar concepts. You could have varying different offers that would be there, more sit down restaurant, grab and go, various things. So, I think within, that sometimes you see more variation. But our general perspective is on the return on investment, we tend to look at portfolio approach. So, it tends to be quite similar across both of these, in terms of the investment versus what the return for us, or ROCE is.

Rahul Agarwal: Got it. And just one small last question, on the revenue salience. Just from a risk perspective, today, if we talk about the India business for you, let's say, how is your revenue concentration, like let's say top three airports, top five or top 10, however you want to break down it, where is, how is the revenue concentration for the business?

Varun Kapur: So, some of these details we have, I think, are specifically called out in the RHP, in quite a bit of detail. I won't have it handy now, but that would be the best place to look at, because I think those particular things are called out in quite detail there.

Rahul Agarwal: Sure, I'll refer to that. Thank you so much Varun and thanks. All the best for the rest of the year.

Varun Kapur: Thank you. Much appreciated.

Moderator: Thank you. The next question is from the line of Akhil Parekh from B&K. Please go ahead.

Akhil Parekh: Thanks for the opportunity. My first question is on the margins front. We have seen a significant gain at EBITDA level, almost 400bps of jump on a Y-o-Y basis. Do we see that margin gains in what we have achieved in 1Q, to be sustainable? Because historically we have been in range of 30% to 33%, so 38%-39% of EBITDA margin is sustainable going forward. That's my first question?

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Vikas Kapoor: Hi Akhil, Vikas here. So, our EBITDA margin, like since we pride ourselves on our financial discipline. In terms of, as I had explained earlier, in terms of procurement of goods, we have been efficient in terms of managing our food inflation, as well as entering into annual tenders which has brought down our costs down, and that has given us a certain uptake in terms of this. We believe the gross margin to be in a range bound manner of around 80% to 82% throughout

the year. And further to that, the EBITDA margin is also in terms of the fiscal discipline that we have done in other expenses as well as the contract management part, which has improved the overall EBITDA. So, we believe it to be a sustainable margin gain, which should be there throughout the year, as we proceed.

Akhil Parekh: That's really good to hear. Second, would it be possible for you to share the profitability, JV-wise for the quarter or at least give some color which of the JVs have performed better? We did around INR8 crores of, that's the contribution in TFS from the JVs at that level, across the three JVs if it's possible to share.

Vikas Kapoor: So, two things, Akhil, since we operate both the JV and Associates, as well as our own business in the same manner, so the endeavor is always to improve on the margin profile as we go. But as you w

ould appreciate that we are mobilizing quite a bit of units, as Varun and I have spoken at the start, in the JVs and Associates as well. What I can give you a bit of color is more in terms of the sales of the JV and Associates, if that is fine from your perspective.

Akhil Parekh: Yes. That would be helpful.

Vikas Kapoor: Yes. So roughly, if you look at it from an overall perspective, since our own consolidated numbers were roughly around INR3.75 billion and JVs and Associates kind of formed roughly around INR3.4 billion, out of which roughly around INR 2 billion is what we have seen from our JVs, under Semolina Kitchens and overall, the rest with the other partners.

Akhil Parekh: Okay. Sure. This is helpful. And third and last question, just for clarity, in terms of the differential between the LFL growth system-wide, SSG is 13%, while console is 6%. Sir, it's right to assume, right, the JVs, I mean, the airports under the newly formed JVs have performed better in terms of LFL growth compared to the non-JV airports?

Varun Kapur: Yes. That would be a correct assumption. So, some of those airports, which and as you mentioned earlier in the call, so some of those airports during this moderation, like you had Delhi, you had Calcutta, you had Goa, which probably form a larger proportion of the consolidated, those showed a bit of softness versus the others. Obviously temporary, but there. So, you can see that's why, there is slight difference in consol. versus system-wide. And many of the system-wide units also are trading relatively new in their first year. So, all of those coupled together is where you see that slight, you see that difference of LFL and system-wide versus consol.

Akhil Parekh: Okay. Great. That's all from my side and best wishes for coming contests.

Varun Kapur: Thank you.

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Moderator: Thank you. The next question is from the line of Jai Doshi from Kotak Securities. Please go ahead.

Jai Doshi: Hi. Thanks for the follow-up opportunity. You did mention about direct dealing with credit card issuers. Can you tell us at this point of time, among your key credit card customers, with whom you are dealing directly? And what is the extent of benefit typically you accrue, when you go from dealing through intermediaries, to dealing directly?

Varun Kapur: Yes. Hi there. So, we're currently doing this exercise, which we do see, to your point directly, we do see as it being, obviously there, will be other points, we think this to be margin accretive, but we do see the other points, about primary reasons of doing it is a better customer experience, as well as it addresses multiple cohorts, right? You're not saying different card levels, you have customized solutions. So, I think on various fronts, it is positive for the business.

We are currently in exercise. A few accounts have been, we are working with, for example, we have American Express, which is now working with us directly. This quarter, we are currently in the process of ICICI Bank and Axis Bank already directly working. IndusInd is working directly. Other banks, it's a process we're creating this technological platform is performing extremely well, working, plus we're seeing the benefits on other fronts as well.

And currently, since we're in the exercise, probably the numbers will be clear post the completion of this process. I think at the right time, we'll share that relevant information and be evident in the numbers as well. But I think the trend is very much a positive trend.

Jai Doshi: Sure. And last one is, are you evaluating any opportunities, international opportunities that can sort of materialize and have a meaningful benefit for you anytime in this financial year?

Varun Kapur: Yes. It's a continuous process we're doing, so, Asia-Pac and the Middle East are areas we're looking at for opportunities.

We have teams actually working on that even based out of the country and looking at those opportunities. Because of the nature of these opportunities, once you obviously don't want that going on, these are commercially sensitive. So, there is work, no doubt, maybe answering your question.

But as they materialize, and as we see our business development efforts come together, we

should no doubt share that and put that forward. But yes, coming from the success in Malaysia and Hong Kong, getting those opportunities, there are similar opportunities which we are actively working on, part of a continuing exercise like we do in India, internationally as well, the same efforts.

Jai Doshi: Sure. Thank you so much.

Varun Kapur: Thank you, Jai.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for the day, I would now hand the conference over to the management for the closing comments. Over to you, sir.

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Varun Kapur: Thank you very much. So, we do appreciate all of you taking the time today to join us at TFS for our first earnings call post-listing and hearing us patiently. And at the same time, if you have any further queries, please feel free to reach out to our Investor Relations team. So, wish you all a good evening and Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability purpose only.

Call: Nov 2025

20th November, 2025

To, To,

Department of Corporate Services Listing Department
BSE Limited The National Stock Exchange of India Limited
P.J. Towers, Dalal Street, Exchange Plaza, 5th Floor, Bandra Kurla Complex,
Mumbai-400 001. Bandra (East), Mumbai-400 051
Scrip Code: 544443 Scrip Code: TRAVELFOOD

Dear Sir/Madam,

Sub: Earning Call Transcript – Q2 FY2025-26 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings/conference call hosted by the Company on November 13, 2025, post declaration of Un-audited Financial Results (Standalone and Consolidated) for the quarter and half year ended September 30, 2025.

The above information is also being uploaded on the website of the Company-
www.travelfoodservices.com.

This is for your information and records.

Thanking you,

Yours truly,
For Travel Food Services Limited

Neeta Arvind Singh
Company Secretary and Compliance Officer

Encl.: as above
Page 1 of 18

"Travel Food Services Limited
Q2 FY '26 Earnings Conference Call"
November 13, 202 5

MANAGEMENT : MR. VARUN KAPUR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TRAVEL FOOD
SERVICES
MR. VIKAS VINOD KAPOOR – WHOLE -TIME
DIRECTOR AND CHIEF FINANCIAL OFFICER – TRAVEL
FOOD SERVICES
MS. CHHAVI AGARWAL – INVESTOR RELATIONS –
TRAVEL FOOD SERVICES

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Travel Food Services Q2 FY '26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities Limited. Thank you, and over to you, sir.

Manoj Menon: Hi, everyone. It's a wonderful good morning or good afternoon to you, depending on the part of the world you're joining this call from. Representing ICICI Securities, it's our pleasure once again to host the management team of Travel Food Services for the 2 Q FY'26 results conference call.

Now over to Ms. Chhavi Agarwal from the management, for introducing the management team and the further proceedings. Thank you and good day.

Chhavi Agarwal: Thank you, and good afternoon, everyone. This is Chhavi Agarwal, Investor Relations at Travel Food Services Limited. Welcome and thank you for joining us on the Travel Food Services Limited earnings call, for the second quarter and first half year ended September 30, 2025.

I have with me, Mr. Varun Kapur, Managing Director and CEO, Mr. Vikas Vinod Kapoor, Whole-time Director and CFO, to discuss the operational and financial performance for the second quarter and first half of the year and also address the question-and-answer session.

We will be referring to the earnings presentation, press release and financial results uploaded on the stock exchanges. Before we proceed, here is a disclaimer to the call. A few statements by the company's management in the call can be forward looking in nature and we request you to refer to the disclaimer in the earnings presentation for further details. We will now be starting the call and I would like to hand over to Mr. Varun Kapur for opening remarks. Thank you.

Varun Kapur: Thanks, Chhavi. Good afternoon ladies and gentlemen and thank you for joining us for the second earnings call of TFS, as a listed company. Before I take you through the key performance highlights for the quarter, which many of you would have observed in our earnings presentation and press release, I would like to discuss the broader industry dynamics and emerging trends.

The Indian aviation market is currently the third largest in the world and is one of the fastest growing aviation markets globally in terms of passenger traffic. Over the next decade, passenger traffic is expected to grow at a CAGR of 8% to 9% in India. This sustained growth trajectory is driven by multiple structural factors on both the demand and supply sides. This includes rising disposable incomes, expanding middle-class demographics, continued public and private investments in infrastructure development and aircraft orders placed by domestic carriers.

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While the long-term industry growth drivers remain intact, passenger traffic during the first half of the current financial year was temporarily impacted by two major external events, the India - Pakistan conflict in May and reduced flight schedules that were implemented for maintenance and safety reasons, following the unfortunate Air India airplane crash in June of this year.

Against this challenging backdrop, TFS has performed well and delivered a strong quarter with system-wide sales of INR 7.3 billion and PAT of INR 979 million, which equates to growth of 18.4% Y-o-Y in system-wide sales and 15.3% growth in consolidated PAT on a comparable basis, after adjusting for last year's deconsolidation of the Semolina

business.

We achieved this by taking immediate and decisive action, managing the cost base tightly and driving efficiencies. Encouragingly, passenger traffic has shown signs of recovery in the past few weeks, and this recovery trend reaffirms the underlying strength of India's aviation sector and its strong demand fundamentals. TFS is now operating over 500 travel QSR outlets and lounges at a system-wide level, thereby reinforcing our leadership position in the sector.

We mobilized 50 travel QSR outlets and four lounges in the last 12 months, and our joint ventures are progressing well, with timely mobilization of new units and steady progress on execution. Our brand portfolio as well has expanded to 135 brands as of September 25 at a system-wide level, after the addition of 16 exciting new brands in the last one year. For example, in August, we launched India's first outlet of Gordon Ramsay Street Burger at Delhi Terminal 1, which received a very positive response from travelers and great coverage on social media. We plan to bring more Gordon Ramsay outlets at other airports as well.

At our travel QSR outlets, we have undertaken multiple initiatives to drive spend as well as enhancing the customer experience and driving higher throughput. For example, we have launched a special quick commerce menu at select outlets, which brings a commitment to deliver your food order to you within a five-minute time frame.

Within our lounges, we introduced a range of marketing activities, including festival-specific menus, theme celebrations and specially curated events such as 'Master Class with Master

Chef'. These initiatives are designed to engage travelers and create memorable experiences for them during their travel and ultimately encourage repeat visits.

Additionally, at our lounges, we enable the technology platform to provide direct integration to banks and card networks for a smooth lounge access for their customers through our wholly owned subsidiary, Elite Assist Technology and Services. We have already entered strategic partnerships with multiple partners for this lounge access solution and more collaborations are underway.

We also secured two new contracts, one to operate 11 travel QSR outlets and 1 lounge at the domestic terminal of Cochin International Airport, which is the 8th busiest airport in India. With this importantly, we will expand our presence to 14 of the top 15 airports in India. Second, is the recently reopened Delhi IGI Airport Terminal 2, where we have started operating 14 travel QSR units as well.

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So as you can see, we have made very good progress across the business in the first half of the year. Now as we enter the seasonally strong second half of the year, we expect passenger traffic to continue recovering, supported by improved travel sentiment, normalization of operations and sustained demand across both leisure and business segments.

We expect our performance to benefit from increase in travel demand, as we have been seeing over the last few years. We're also looking forward to commencing the travel QSR and lounge operations and the recently won F&B concessions that I mentioned, as well as at the Noida and Navi Mumbai International Airports, which are expected to open soon.

Now I would request our CFO, Mr. Vikas Kapoor, to walk you through the financial performance of the TFS business.

Vikas Kapoor: Thank you, Varun. And once again, welcome everyone, to the second quarter's earnings call.

Before moving to the performance in detail, I would like to mention, as I had highlighted in the previous earnings call as well, Semolina Kitchens was part of our consolidated financials for the first half and part of Q3 in FY 25, which subsequently, as per plan was deconsolidated from October 14, 2024. Therefore, to have a like-for-like comparison and to ensure consistency in

evaluating performance, Q2 FY25 and H1 FY25 numbers have been adjusted to exclude

Semolina numbers and the details for that has been shared in the presentation.

Going to the numbers, system-wide sales reached INR 7.28 billion in Q2, growing by 18.4% year-on-year, driven by both strong like-for-like sales growth of 9.2% and net contract gains of 9.3%, resulting from the mobilization of new units across the airports for the second quarter. If we go to consolidated numbers, consolidated sales touched INR 3.5 billion with like-for-like sales growth of 3.8% and net contract gains of 3.4% for Q2.

I would like to mention that, for TFS consolidated airports, passenger traffic declined by 3.5% year-on-year in the quarter. That said, our growth has been supported by focused efforts to drive business performance. We continue to stay focused on effective cost management, which has played an important role in driving profitability. Additionally, as envisaged, the JV operations are now gaining momentum and profit from share of JV and associates also continues to see an increase.

Our consolidated PAT increased to Rs 979 million in Q2 FY '26 from Rs849 million in Q2 FY '25, registering strong 15.3% year-on-year growth on an adjusted basis compared to the previous year. The profit growth is driven by sales growth, cost efficiency and uptick in JV profit on an adjusted basis.

For the first half, system-wide sales growth was 22.4%, supported by like-for-like sales growth of 10.4% and net contract gains of 10.0%. Additionally, consolidated PAT has grown by 17.2% year-on-year in the first half, on an adjusted basis. Our balance sheet is strong with zero debt. Cash balance has grown by INR1.2 billion from INR6.3 billion in March 2025 to end at INR7.5 billion as on 30th September 25.

With that, I will close the opening remarks and will hand it back to the operator to open it for Q&A.

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Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Aman Baheti from In Cred Capital. Please go ahead.

Aman Baheti: Hi, thank you for the opportunity. So, my first question is on our gross margins. It has seen a significant jump in the first half of this year. What has led to the jump and is it sustainable ahead?

Vikas Kapoor: Aman, thanks for the question. This is Vikas here. I will answer this. In terms of gross margin,

our gross margin tends to be in the range of 80 % -82%, which gets impacted by multiple factors like the product mix, the concepts that we are bringing to the consumer for the consumer experience, as well as various other initiatives that we do to drive revenue growth. In terms of that, what we have been doing over the last two quarters is managing our cost at an optimum level, without compromising on the customer experience, and at the same time ensuring that we bring new concepts, which can enable a better revenue growth.

Aman Baheti: Okay. And, sir, can you walk me through gross to EBITDA margin bridge? Because if I see, our gross margins have expanded to 288 bps, but EBITDA margins are at 244 bps. So, what all costs have gone up in this pass-through?

Vikas Kapoor: So, in terms of the walkthrough between the gross margin to the EBITDA, quite a bit of the cost optimization has happened at various levels. In terms of us having a decent quarter, though impacted by the moderation in traffic, we have managed to control our employee costs, as well as our finance costs, and have been overall prudent in terms of the other expenses as well. This is with a clear focus in terms of ensuring that we have continued momentum and a consistent approach, in terms of driving profitability of the business.

Aman Baheti: So, is it fair to assume that our EBITDA margins would stay at these levels around 38%?

Vikas Kapoor: So, our EBITDA margin will remain in a range-bound manner, because as we bring in new concepts and mobilization of units, and which is part of our industry, it typically takes us 12 to 18 months to bring the new mobilized units to the same level of efficiency as the rest of the business. So, you will see it being range-bound. I won't say that, yes, we will let go of all the benefits that we have accrued, but at the same time, it will be a range-bound EBITDA margin. And that's something we have proven time and again by our consistent performance.

Aman Baheti: Okay. And one last question on our traffic growth. So, we have seen like 4%- 5% growth in traffic, but we have grown more than that. So, historically, what has been the trend? I mean, since you are in business since 15 -16 years, what have you seen historically? And what is the way forward for this trend?

Varun Kapur: So, Aman, Varun here. So, what we were referring to earlier, this quarter, particularly, I mean, obviously, since May -June, it has been a bit of a challenging environment. You've seen that from various industry sources, airport operators, airlines, all talking the same. And very evident, I mean, to all of us as travelers. So, there has been undoubtedly a bit of weakness in travel. I think quarter t2 was where it was exacerbated.

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So, traffic has been weak in the quarter. I think across our airports, we actually saw, the ones we operate, a decline in traffic, for this quarter. There was a 1% drop in traffic. In spite of that, at a system-wide level, obviously, a combination of LFL, that's been a strength of ours, which I think was seen even previously, and we've always spoken of that. In spite of the drop in traffic, we delivered LFL of over 9%. We had net contract gains of 9.3 %. So, the combination of that delivered a system-wide growth of 18.4 %, which I think was a very resilient, very strong performance, in spite of being a very, very challenging quarter.

And obviously, we're seeing trends come up. So, historically, I think air travel had nothing to do with us. I think just the Indian economy, the Indian story has been there over the last decade, obviously accelerating the right investments happening by private and public. The platform seems to be the best state. I mentioned in my intro as well, 8% to 9% CAGR expected over the next decade. Very few markets, and no market of our size can even speak of those type of expectations in place.

So, I think we're at a great point in time, and we see every reason that this seems a blip and already showing us reverse of the temporary blip, obviously, unforeseen events that did occur in the period.

Aman Baheti: Okay. I think that's it from my side. Thank you so much for answering.

Varun Kapur: Thanks for your question.

Moderator: Thank you. Our next question comes from the line of Nihal Mahesh Jham from HSBC. Please go ahead.

Nihal Mahesh Jham : Yes. Good evening, Vikas and Varun. I had three questions. The first one was that for the LFL growth that you reported both on system-wide sales and for the consol, what will be the element of price hike?

Vikas Kapoor: So, Nihal, the element of price hike, typically we tend to only pass on the inflation to the consumers. So, roughly, it would be in the range for the first half of the year to be around 2% to 4%, which would be the price hike which would have been passed on. But as you notice that inflation tends to come down over the months, which is there from that perspective.

Nihal Mahesh Jham : Understood. And I think you were referring to obviously a recent pickup in terms of trends of passenger traffic. For the current last few weeks, how has the trend been in terms of the pickup in passenger traffic?

Varun Kapur: Right. So, Nihal, Varun here. So, we have surely seen, from the end of Se

ptember very visibly.

I mean, there's also public news around it. But we've been seeing very clearly from the end of September a clear pickup across all airports in terms of passenger traffic, that whole recovery momentum coming back. I won't say it's back to where we're used to seeing it, but surely very evident week -on-week, we're seeing an improving trend. And like I mentioned , you're seeing airports, airlines all giving a similar commentary out there.

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I mean, visibly , anecdotally as well from probably a few months ago, especially in leisure markets, you'll see lines are getting longer, that's coming in. So, obviously with the second half, for us, is normally the stronger half of the year historically as well , It's a good time to see that momentum coming back .

Nihal Mahesh Jham : Understood. Possible, just to get a sense , in terms of quantitative element , of what the trend is like, is it like close to double digit now, what it was like for the last CAGR ?

Varun Kapur: Well, I think , it's changing week on week because it's quite , then we're pretty much in the early days without the exact , probably the sense is that for the full year, as it was negative in the quarter , I think for the full year, one may probably see an expectation of probably mid -single digit. I think that's what we're hearing industry sources talk about. I think that's the trend.

It's very difficult to say because it is changing quite evidently, what we saw from two, three weeks back to now. So, it's quite a moving target. So, probably more helpful thing will be where probably the full year is kind of what is publicly we're seeing, everyone expecting from the industry. That's probably a more useful way I would guess to look at it.

Nihal Mahesh Jham : Got it. One more question was that with the addition of the Cochin airport, if you could just give a sense of the expected pipeline or what could be the expected count for both stores and lounges by the end of FY26? So, counting Noida as well as Navi Mumbai and Cochin and the addition of the Delhi units also that you've mentioned in the PP T.

Varun Kapur: So, Nihal, normally while numbers we don't give, you know, obviously we spoke about , when I mentioned about the size in terms of units of these opportunities. Maybe I could reiterate that as well. So, Cochin will be 11 units on the travel QSR side and one lounge /bar. That's we go live there from January , in a bit of phasing, but that's the plan there. Equally, we have Delhi Terminal 2 has already gone live for us. We're already operating there. You would have seen that airport has opened up. We operate 14 travel QSR units in that airport.

Noida and Navi Mumbai being new greenfield airports, we expect that opening to be in phases. So, it wouldn't be right for me to give probably an idea of how that could play out. I think that once the airport operators, once they plan out that, probably we will be able to come and give you a specific. But as publicly available, those airports are expected to open quite soon. And once I think we're able to share with you something more specific on those, we will. But, ye s, we are ready , units are in good condition of opening , so, all of that is quite in place , in both of these airports.

Nihal Mahesh Jham : Final clarification for Navi Mumbai, you have 39 or 40 QSR outlets and 1 lounge. That is the current pipeline.

Varun Kapur: Navi Mumbai is happening in phases. Like I said, that is a bit the airport operator working. So, I wouldn't want to be the one commenting on that. That airport does happen in phases. But, yes, we have both travel QSR and lounges in that airport . There will be a bit of new stuff coming in once that is firmed up and public , then probably , we can come an

d discuss the exact nature of

how those mobilizations of the units are.

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Nihal Mahesh Jham : Understood. That's helpful. Thank you so much.

Varun Kapur: Thank you.

Moderator: Our next question comes from the line of Vatsal Dujari from Tata AIA Life Insurance . Please go ahead.

Vatsal Dujari: Hi, team. Thanks for the opportunity and congratulations on a good set of results. My first question is on the new outlets you got in Delhi Terminal 2. So, they are on the concession model, but we also have a JV with GMR. So, just was wondering, how come those have come under the concession model for us?

Varun Kapur: Hi, Vatsal. Varun here. So, Delhi Terminal 2, as you do know, it was an airport operational earlier. It is currently reopened. Obviously, Delhi Terminal 3, there's some work happening , some traffic has transitioned to T1. But Delhi Terminal 2, currently, which is opened in terms

of the contract as well that we're doing there, is a short-term contract.

So, what we do operate, the joint venture with GM R, GHL, that does operate in other markets as well. But this particular contract is a short-term contract, which we have for three years. And therefore, the airport obviously comes up with contracts for particular needs. As you know, this airport has particular reasons it's opened up during the transition. So, for that, we are running this in that concession model as a result.

Vatsal Dujari: Okay. Got it. My second question is on the gap between the LFL growth and the passenger traffic growth. So, we saw in this quarter, the gap was almost close to 10%. So, could you give us some kind of breakup, in terms of how much is coming from an increase in penetration, in terms of people spending more on F&B and lounges in an airport, and also due to premiumization? And how do you see this trend going forward, of LFL being higher than the traffic growth?

Vikas Kapoor: So, Vatsal, this is Vikas here. In terms of LFL growth, yes, while it was a weak quarter in terms of the passenger growth, our endeavor always is to work on a couple of factors. One is that we continue to focus on improving penetration, and upselling to the customers in terms of enhancing the customer experience, by the change in brands and the new concepts that we bring, which allows us to up our overall average transaction value with them.

So, a lot of initiatives go in terms of that. Referring back to something which Varun also said in his speech, like the five-minute option that we have recently introduced, it's gained momentum. So, all these initiatives drive the customer penetration as well as the average transaction value at the airports that we operate in. So, that's been the trend. Going forward, as traffic recovers, these layers of initiatives and processes that we have, as part of our DNA, will be on top of the passenger growth.

Varun Kapur: Yes, to add to what Vikas said, Vatsal, it's exactly we had a 1% degrowth in traffic. And yes, LFL did grow at 9.2%. So, there was north of a 10% delta. And exactly, it's all those measures. And that's what I think we're able to do as a market leader, completely focus on the sector. That's what we deliver. That's what we bring to the table. And that's what separates us from anyone

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else operating there, actually driving that delta, even in a period where it is highly challenging to be able to deliver those numbers. That's the focus of the business and our business model.

Vatsal Dujari: Got it. And just a little bit more on the penetration aspect. So, could you give us some kind of ballpark numbers as to say, if 100 people walk into airports, how many of them actually consume F&B at airports or use lounges at airports, and how is that number

benchmark ed to

say other geographies in the world?

Vikas Kapoor: So, Vatsal, penetration, we do intend to drive and if you ask me as a finance guy, I would love to have 100% penetration and let everybody buy some sort of an F&B. But, if you look at in terms of footprint, even in the larger airports, we are not 100% present. So what happens is it becomes very difficult to calculate how the penetration works across different parts of the airport and across multiple terminals as well. Just to give a case in point, Delhi is an 80 million plus passenger airport, and there are three large terminals, and we are not present in all the terminals as such as well. So, in an ideal world, I would prefer that.

The only upside that we have is the customer can go to a lounge. And if he doesn't want to go to a lounge, or he doesn't have a lounge access, he can still have food at our F&B unit. And that does help us improve penetration or capture the customer from one angle or the other. And that's what has helped us. But overall, we do concentrate on improving penetration year-on-year.

Vatsal Dujari: Okay. Got it. That was helpful. Thank you. That's it from my side.

Moderator: Thank you. Our next question comes from the line of Purva Zanwar from B & K. Please go ahead.

Purva Zanwar: Hi team. Congratulations on good set of numbers. So, my first question is regarding the difference between the LFL growth rate of consol and system-wide. There is a difference between the two. So, is it primarily because the JV portfolio has expanded into newer airports over the last few years and it's still in the ramp-up phase, therefore giving better LFL? And if so, as these JV assets mature, should we expect their LFL growth to converge with the consolidated LFL growth rate?

Varun Kapur: Hi, Purva. Varun here. So, I think particularly on that, so yes, we had called out even last quarter and even earlier before that. So, obviously, the JVs have a lot of mobilization playing out. So, that plays out as well. You can see the net contract gains that play out in system-wide sales, as well being there. What particularly is there in consol, so that's one area, no doubt with the additional mobilization, you see the net contract gains being quite strong in those entities. In addition to that, I think in consol, we did have one of the airports, which was Delhi, where we did see particularly the traffic de-growth in our consol versus system-wide, which is at 1%, Consol was actually about 3.5%. That was driven by Delhi, there was a de-growth in traffic, which was quite significant, almost 8%. That's available there publicly as well, with some of

the airport operators. And this was due to a combination, due to the crash, it was probably one of the more affected airports because being an Air India hub. Coupled with that, this quarter and probably also seeing that weakness, there was a runway closure that happened, which everyone will be aware of, in Delhi that affected flight schedules.

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And there was a PAX movement happening at T1. Obviously, we are there in T1, but that's a gradual mobilization that happens in those units, because it's a new airport. That is where our consol numbers, particularly in the quarter 2, saw a bit of dip, because Delhi sits in that, versus system-wide obviously has a lot of those other airports. So, I think that played out in the PAX difference in Delhi, did play out also in the LFL numbers that you see. So, that kind of explains the combination of the net contract, and the difference in LFL is where that difference in sales growth that you're referring comes from.

Purva Zanwar: So, you mean that this consolidated LFL should gradually now improve from here on, being not affected in future related to specific Delhi?

Varun Kapur: Exactly. We normally see LFLs

converging there. Obviously, every market has its own dynamics, and that plays out. Our passenger traffic could be more in one area, less in one area, because of the leisure market and other drivers like that. So, obviously, those underlying effects stay the same. Those move slightly up and down, but yes, the underlying perspective of LFL converging and moving together generally tends to be very similar dynamics across all airports. So, exactly that Delhi traffic was much weaker, therefore, the LFLs were playing out weaker in that area. That was a key driver for that.

Purva Zanwar: Okay. And second question would be regarding what would be the major upcoming contract renewals apart from the Delhi one, in the future years, 2-3 years down the line, any major one?

Varun Kapur: So, we have Delhi Terminal 3. We have a list of contracts which we've already called out as well in the DRHP, that kind of lists out certain small contracts, big contracts that keep coming up for renewal. The one in this financial year is the Delhi Terminal 3 contract, that does come up for renewal for us.

Purva Zanwar: Okay. Got it. That's it from my side. Thank you.

Varun Kapur: Thank you.

Moderator: Thank you. Our next question comes from the line of Param Vora from Trinetra Asset Managers. Please go ahead.

Param Vora: Hello. Thank you for taking my question. So, my question is regarding the revenue mix. So, partner brands contribute 54% to our revenue and in-house brands contribute around 45%. So, can we expect a change in mix, like more focus on in-house brands?

Varun Kapur: Hi, Param. It's Varun here. Thanks for your question. So, in terms of our approach adopted for rollout of brands under travel QSRs is, we tend to work as you see with most of our contracts in terms of multi-outlet or a master concession way. In that case, our strategic approach has been, that it has to be a combination of both in-house brands and third-party partner brands. And even within third-party partner brands, you'll have international brand partners, international brands who are present in India like the well-known QSRs and you'll have popular regional domestic partners. You'll have even city-based brands. So, our approach always is a mix of those.

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For example, in the airport, say in Chennai, you could have a KFC. You could have a Subway catering there. At the same time, you'll have a Sangeeta, or a Third Wave Coffee. So in terms of offering available, the way we look at it is that it's not a strategy where, for example, maybe if I can just give up operationally, I would work in KFC or with an in-house brand. Now, one would think in-house brands, oh, if you don't pay a royalty, COGS are better. You know, we should get only in-house brands that drive more margin as a target.

But in reality, the way we look at it is, by putting say an in-house brand, which could be, idli.com or a Curry Kitchen or a Dilli Street, and also, along with that, you have a KFC, which caters to a particular customer, which also probably drives a particular level of revenue. So, we look at the entire basket. So, we never look at how much an individual store does, but what we look at by putting these multiple brands, what is the overall basket? So, internally, there'll never be a target, say, let's do more percentage of in-house or more percentage of third-party brands.

It's always that let's do a basket that ultimately delivers the best IRR for us, and ultimately that's linked to the most sales, logically to drive. So, that's how our approach as a business tends to be. And that's why you see it just so happens that number is 54-46 or may change to 60-40. It's not a strategy of achieving a certain number. It's more driving what we believe will achieve the

best financial outcome. That's how our approach is.

Param

Vora: Okay. And my follow-up question is regarding the new units, like 50 new units are set up in QSR outlets and four new lounges this quarter. So, what is the expected payback period and margins for the new units compared to the existing ones?

Vikas Kapoor: So, in terms of, be it travel QSR or lounge, when we are approaching any tender and applying for any concession is, looking at the overall ROCE, because that's what drives us, in terms of our profitability and our target, including the focus on IRR. We are out of the view, that whether it is a Travel QSR or a lounge, we should focus on one or the other.

Nonetheless, what we do try to do is that we get a certain payback in a set number of years, in the early start of the contract. But it typically takes us 12 to 18 months to get those units mobilized and operate at the same level of efficiency as the rest of our business. In some of the units which are in our existing airports, we do tend to turn around faster. But we will be always focused on profitability rather than growth. So, the focus will always be on getting the required IRR and ROCE back.

Param Vora: Okay. Understood. Thank you.

Moderator: Thank you. Our next question comes from the line of Akhil Parekh from B & K Securities. Please go ahead.

Akhil Parekh: Hi. Thanks for the opportunity. My first question is on the LFL growth side. So, what is a sustainable LFL growth rate one should look at, especially for the airports which are there and kind of matured with us over the last two, three, four years, basically? What's a sustainable LFL growth rate in those airports?

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Varun Kapur: Hi, Akhil. Varun here. So, it's difficult to put a number only because for LFL, one of the key drivers there has been passenger traffic, right. So, I think the keyway to look at it is we obviously do a delta over that. That's been our performance and that's what we've been always doing. We deliver a delta over what the underlying passenger traffic is. Now that delta, I did talk about earlier is that we are achieving that delta by a combination of initiatives in terms of, obviously, there's some part price and there's some part of sales initiatives, all that. So, I think one should assume that there will be a combination of all of those initiatives that we will continuously be doing and always have a delta over it.

Now, so therefore it's impossible to give a LFL unlike probably on the high-street, to say this is kind of the LFL target for us, because obviously there's an underlying element that plays on top of which you have inflation and then those initiative of ours. So, you should probably look at how that combination behaves and over the long term we've always seen that delta performance be there. So, like I said, this quarter as well, we did a 10% LFL growth. A 9.2% LFL growth is a 10% delta to the minus 1% passenger traffic. So, I think that's been the nature of how our business has behaved.

Akhil Parekh: Sure. Second, Vikas, you mentioned the penetration across the airports. Do we maintain certain data points? Like for example, let's say, what are the number of bell-cuts we are doing across our QSR, say, XYZ airport and what is the footfall basically? What kind of convergence we are seeing and what is the scope of improvement over there?

Vikas Kapoor: Thanks Akhil for the question. Yes, to drive any business performance and the profitability that we have, you do those data insights, cuts in -terms of NOBs, in -terms of transactions, how many transactions happen on combos and stuff like that. But since they are commercially sensitive, I won't be able to share those at the moment, because it's confidential.

Akhil Parekh: Okay. The reason I was asking was, is there enough scope for the convergence to improve at the

airports which we are operating? That's the reason I was asking this question.

Varun Kapur: Sure. In terms of the opportunity, there is no level where one can say, because ultimately, it's about driving new experiences that can be driven by new brands. Ultimately, I think Vikas said earlier, but generally, it's a way that's the target we aspire to. You want every person going through the airport, you do have an offer available for them, whether it is the travel QSR and entry to lounges, you're capturing consumers in both areas. A person wants to go to a lounge, maybe today he's feeling like, no, the lounge is not right, let me go to the cafe outside it. We want to capture the consumer there as well.

So I think it's a question of having always some opportunity to keep pushing that. You want everyone going to the airport to do it. I think that only is not the driver, the way we look at it, yes, we have passenger traffic, you would also do new additional units that capture consumers, keep changing units to capture consumers. In addition to that, you'll do promotions, you'll do activities, I mentioned about the five minutes are free, something like that gets more people in. So you keep doing something different. It's to keep consumers engaged. People like choice,

people like variety, people like trying. We do different stuff. We got for example, Gordon Ramsay down as a concept there. That gets more people to come and try.

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Someone may have said that, listen, I'm flying out in the night, I won't have a meal, I'll come a little early to the airport, things like that. Those types of things drive more and more people. I would say that, we do a lot of analysis on our end, which obviously is commercially sensitive, but yes, the target is to keep working on ideas, to keep increasing the consumers we're targeting and driving that delta with growth.

Akhil Parekh: One last question.

Moderator: Akhil sir, sorry to interrupt. May we request you to return to queue for question? Our next question comes from the line of Dhiraj Mistry from ICICI Securities. Please go ahead.

Dhiraj Mistry: Hi. So I was having particular question about the price hike, what you mentioned that usually you take a price hike in a range of around food inflation. But historically, have you done some study where that if you increase the affordability of the product, you see that there is an exponential growth in your footfall or let's say revenue drivers, rather from pricing action, it would be more driven from the volume growth which you would witness?

Vikas Kapoor: Dhiraj, this is Vikas here. So, of course, when we do pass on any pricing increase to pass on the food inflation to the customer, we look at it in terms of customer experience, what value we can continue to give to the customer. So that is definitely the underlying business view on that. But over and above that, what happens is we do, do studies around price elasticity, how it will impact the numbers, in terms of penetration, in terms of the uptake of a new concept and various other things and it's an ongoing exercise. It's not something that we do it only when we are doing a price hike, because the profile of the customer in an airport also keeps on changing. So that's one parameter to be kept in mind.

At the same time, if you look at the sheer range that we operate in the airport space, right from the lounges, to the bars, to the casual dining, to the QSR, to the cafes, we also now operate Udaan Yatri Cafe. So if you look at it from a price range point of view, we are covering from the guy who would be keen on having a coffee or a tea at Udaan Yatri, right up to a guy who is a first class customer and wants to have a lounge access. So that's something that we cater to and it's part of our DN

A and we do it consistently.

Dhiraj Mistry: Got it. And we have seen material improvement in our EBITDA margin. Would you like to quantify what would be the guidance in terms of near-term perspective where our EBITDA margin would lie on an annualized basis? I completely understand there would be some seasonality factor on quarter-on-quarter basis, but on an annualized basis, can you give some guidance for your EBITDA margin?

Vikas Kapoor: EBITDA margin, gets driven by product mix, new concepts that we bring in and how the new units are getting mobilized because, like I said earlier also, it's a combination of factors. Some of the new units could take 12 months to come to the same level of efficiency and some units might take 18 months. It depends on where and how outlets are mobilized.

In an ideal scenario, yes, I believe that EBITDA margin should, over a period of time, improve as we bring in better efficiencies and the new airports stabilize. But what drives us is

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predominantly our PAT, because that's our focus area in terms of the overall bottom line, after the taxes and everything.

Dhiraj Mistry: Got it. And a very quick question on seasonality factor. Based on your historical study, what would be the contribution of second half versus first half? Or, in fact, it would be much better if you can give quarter-on-quarter, let's say Q3, Q4, and Q1, Q2. What would be the seasonality factor to their overall annualized revenue?

Varun Kapur: Historically, we've been seeing, I think probably the way to look at it in our mind is always a 45-55 kind of level, because second half is obviously stronger of the year. You have December-January period playing out in that and we tend to see it. Plus, in Q2 besides the monsoons, plus a bit of weaker trading tends to normally be there in passenger travel as well. So, I think that, our first half always is 45, second half kind of 55. Obviously, this year has been a bit exacerbated with the whole passenger traffic in Q2, but normally a 45-55 is what we historically always consider internally.

Dhiraj Mistry: Okay, and one last question from my end. Can you throw some light on your new subsidiary, Elite Assist Technology, in which airport you would be operating and what kind of economics we can see in that subsidiary?

Varun Kapur: Yes, sure. So, Elite Assist Technology Services, and maybe the acronym is what would be more

interesting to talk about is EATS, very relevant for our business. So, EATS is actually rolling out technology solutions for our various business lines. So the first initiative is the lounge access management solution which we've done, which is actually, we've enabled the technology platform, which gives direct integration for banks and card networks for lounge access to their customers. And so, that's generally what that business does for us and focused on currently.

Dhiraj Mistry: Okay, where would it operate and any quantification you would like to give, or let's say revenue or as well as PAT in terms of?

Varun Kapur: It's too preliminary to give any quantification, but where it does operate, it supports our lounge business. So, this is something we started rolling out from the quarter, in terms of supporting the lounge business for direct integration with bank and card networks. So, that's where the business would operate. And that's over the next few quarters we could be probably giving a bit more color as that rolls out. And that's the way we see this particular area you see across our lounges currently. That's the focus area for it to work.

Dhiraj Mistry: And it will operate in our JV lounges also, or it would be 100% our lounges where we operate?

Varun Kapur: So this would generally support the lounge business across, because it would do tie-ups and support

the lounge business across. Now, maybe different in different lounges in different manners. So it is a solution we are developing. It may be, for example, the initial pieces could be more aggressively in our lounges wider, but it would work with other lounges as well. That's a solution when you develop, it can provide you and that's where our capability can play out. We can support other lounges as well. But again, like I mentioned, it's a recent rollout focused on our current lounges to get it started.

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Dhiraj Mistry: Got it. Got it. Thank you very much. I will fall back in the queue.

Varun Kapur: Thank you.

Moderator: Thank you. Our next question comes from the line of Anuj Kashyap from A3 Capital. Please go ahead.

Anuj Kashyap: Hello, I'm audible?

Moderator: Yes, sir. You are. Please go ahead.

Anuj Kashyap: So, congratulations, team. So just I wanted to know what is the strategy regarding the, like our name is Travel Food Services. So beyond airports, I would like to know the strategies like railways or highways because India is roaming these days a lot. So what are the strategies that are ending up to it?

Varun Kapur: Sure, Anuj. Thanks for the question. So obviously, yes, we've been predominantly largest piece has been at airports. But we did during even our listing process in terms of our DRHP and we mentioned during that period and in the quarter as well. A focus for us, would also be two additional areas, beyond our traditional business in terms of the airports in India. We are also looking at expanding, also, the airport business internationally with a focus on lounges, as well as highways across India. That's our immediate focus.

Railways, maybe not right now, but highways we do see as an opportunity currently for our business. The whole expansion the government is doing around investing in highways, planning these expressways, which are areas which are captive, where going from one end to the other, these are access controlled locations. So we see these WSAs, call them wayside amenities, we do see that as an opportunity. The government has particularly called it a 1000 wayside amenities over the next few years, which would be access control F&B areas. And we see that playing to our strength, where we can actually go in, multi-brand, build out, fuel, non-fuel retail, play that opportunity. We do see that area to build up, F&B hubs in those areas as an opportunity for us.

So, I think you said the right thing and we see again, but let me, if I may stress that, I think we do see at least the highway opportunity a bit more of a long-term because it's just starting, it's nascent. We won't compromise our return metrics. So we'd go in that carefully, we'll take the right opportunities, we'll get the model right. Yes, we do believe we have the strengths to make that work. And I think with that, very few others do have that whole brand mix, experience of operating these areas, financial ability to invest, all that coupled together, robust technical team to support it. We will do it in a manner without compromising our return metrics. That will be our approach to the business.

Anuj Kashyap: Yes, sir. Sir, just one add-on to it, as a team, as a company, you analyze the customer data. So do we have like loyalty programs and also the special discounts for the frequent customers, like many people are traveling day-in, day-out these days, on busy routes like Delhi, Bombay, Bangalore. Do we have loyalty programs also for the customers?

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Varun Kapur: Yes. So, two areas. So one, the previous thing I mentioned around EATS is also building a bit of that, because by having a technology solution in place, it does allow that to be much smoother. So, that is part of the plan there

as well. But in addition to that, what we do is , we have various packages available for various travel groups that we believe will actually, a-, will drive customer spend incidents, but also the right thing for those groups.

So, for example, we have, I'll give you one example. We have lounge packages , which are discounted or special for senior citizens. We have a student package. We even have a family package. We have young kids going to a lounge. Not everyone may be traveling business class or they don't have a car d. So there's a way we actually allow them at a discounted as a family package. So those type of things we do. And that's how we kind of address kind of different customer cohorts.

But yes, there's a deeper strategy we're working on as well. That's part of our business. We constantly work on areas. It's a good point to drive loyalty, people who fly regularly, which is more and more happening. People are more and more in the air, more regular. I think it's becoming very much in nature in our country now . Its no longer once a year flight . people are traveling maybe more than once a month as well these days.

Anuj Kashyap: Thank you, sir. Best of luck for the future.

Varun Kapur: Thank you, Anuj . Thanks for your question.

Moderator: Thank you. Our next question comes from the line of Nikhil Oswal from Oswal Investment. Please go ahead.

Nikhil Oswal: Hello, sir. Congratulations on good set of numbers and thanks for the opportunity. Sir, my question is on the number of QSRs , we have around 500 QSRs and lounges. Out of these, how many would be coming under the Adani umbrella?

Vikas Kapoor: Just one second . Your question was you wanted to know how many of our travel QSR units are in?

Nikhil Oswal: So how many of our travel QSRs and lounges come under airport operated by the Adani group?

Varun Kapur: Okay. So roughly, it will be slightly over 100. I think it will be roughly around the 120 mark, is what the exact number handy with me right now, but it's roughly around that. I know it's about 120 mark roughly.

Nikhil Oswal: Okay , sir. So, sir, one question which comes up in mind is like, see, we all know what happens to -- happen to DreamFolks. How do we protect ourselves against the risk that , if there is a risk at all that tomorrow Adani says that, under my airports, I would like to want to, you know, operate the QSRs. So how do we protect against such a risk?

Varun Kapur: You're right. So there are two parts to that question. One, I don't want to particularly comment on DreamFolks, but that's a very different model, right? We are a brick and mortar operator.

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One's just an aggregator in between. So I don't want to comment on that because it's a different thing, but our model, obviously is, we actually invest, build, and run those units.

The slight difference, probably to that as well is, many of these units we do run through joint ventures. We already are in a joint venture with Adani Airports. By doing that, our skill set in terms of operators, a lot of their learning, their expertise as airport operators, they run multiple airports , and very strong teams there. So, that skill set coming together is what creates , that's why you see many of the airports , truly have, really top concepts, those outlets run really well, you know, there's great feedback on those.

So, that mix of airport operator and F&B operator or lounge operator works very well. And especially, obviously, private airports that plays out , So that's how that model works. So, you know, it's already in a joint venture. So, they are already part of the business with us in these units that I mentioned to you.

Nikhil Oswal: Okay. So, they already have a share of the pie. So, they won't be inclined to, you know, I mean, take those fully that way. Okay.

Varun Kapur: I mean, the partners wi

th us in these units, you know, are given through a process right . These are lon g-term contracts, even there would be also for the process. And ultimately, at least in our case, these units are in a joint venture with them. We operated together.

Nikhil Oswal: Okay. So, your senses, we are fairly included

Moderator: Sorry to interrupt you, Nikhil sir, may we request you to return to the queue? Thank you. Our next questio n comes from the line of Vatsal Dujari from Tata AIA Life Insurance. Please go ahead.

Vatsal Dujari: Thanks for the follow up. Just had a couple of small questions. So is it possible for us to give a breakup of the LFL growth into what was the LFL growth in the lounges part and the travel

QSR part?

Vikas Kapoor: So Vatsal, the like-for-like in both lounges and travel QSR, because in most of the airports that we operate they are in the same airport, they are in the similar range. Of course, the passenger traffic is one element, but in the cases of lounges, since we have tie-ups even with airlines and everything. So in terms of the overall mix, that seems to be a bit more consistent from the travel QSR. But otherwise, both are in the same range of LFL for us.

Vatsal Dujari: Got it. And just one more thing. So, how do we think about capacity utilization in our outlets and our lounges? So, like some of them are more mature lounges, like Mumbai or say Calcutta and Chennai, what kind of capacity utilization are they operating at? And even on the travel QSR side, some of the more mature airports and outlets, what kind of capacities are they operating at?

Varun Kapur: Right, that's a great question. And maybe to give a perspective, so maybe I related it to a high-street. If you look at a high-street operator, so generally, for high-street capacity tends to be driven by your lunch and dinner, people have a lunch and dinner 2, 3 hour window. Now once

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your sales is set that, it's very difficult for one to fill more because that period is set, i.e. a 2-3 hour window. A consumer is not going to have lunch at that matter, 7:00 a.m. or breakfast not really work in India. You're not going to have comfort dinner at 5:00 p.m. or for that matter past midnight.

Now what works a bit different in airports is ultimately, you're tied to the flight you're taking. Now when an airport has got x percentage traffic. And normally, the capacity normally really gets into play as traffic increases, which is India is, the fastest-growing travel economy and large scale anywhere. So as that grows, what tends to happen in the airport situation, which is why you've seen our growth rates be quite consistent over a decade, the business has performed like that, is because what has happened is, that every time new capacity or new airline or new flight is there, more passengers come, they come in an incremental hour. So for example, if three hours are full, is the peak, the next will become the fourth hour, then the fifth hour. So your travel QSR or lounge, while at that moment, they look busy during peak. But for more consumers to come, actually, the additional airline is in the off-peak hour. So our capacity is unused at that point in time. And that's why you see those units in airports actually have a long runway of growth, even just with the same investment asset, if I'm able to explain that right. So for example, if you have a flight from 7 to 10 a.m. is your peak period. The next flight to come to 11. Now that's not peak. There's enough capacity as the travel QSR lounges to absorb that consumer. And that's how it tends to work. So that's therefore, the right set of outlets, the right set of space is planned in airports, considering what is there during in terms of number of flights, how many they can absorb. So it actually works quite well.

We just obviously need to strengthen the te

ams during those hours, right in terms of number of people, which is not that difficult and not that incremental cost, not much fixed cost goes in. So that's how our model works, very different than the high-street.

Vatsal Dujari: Got it. Very helpful. Thanks a lot. That's it.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I will now hand the conference over to the management for closing comments.

Varun Kapur: Yes. Thank you very much to the ICICI Securities team for hosting us. And we appreciate all of you taking the time today to join us for the earnings call post our Q2 results. If you have any other queries, please feel free to reach out to our Investor Relations team. Thank you, everyone.

Moderator: Thank you. On behalf of ICICI securities, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2026

19th February, 2026

To, To,

Department of Corporate Services Listing Department
BSE Limited The National Stock Exchange of India Limited
P.J. Towers, Dalal Street, Exchange Plaza, 5th Floor, Bandra Kurla Complex,
Mumbai-400 001. Bandra (East), Mumbai-400 051
Scrip Code: 544443 Scrip Code: TRAVELFOOD

Dear Sir/Madam,

Sub: Earning Call Transcript – Q3 FY2025-26 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings/conference call hosted by the Company on February 13, 2026, post declaration of Un-audited Financial Results (Standalone and Consolidated) for the quarter ended December 31, 2025.

The above information is also being uploaded on the website of the Company-
www.travelfoodservices.com.

This is for your information and records.

Thanking you,

Yours truly,
For Travel Food Services Limited

Neeta Arvind Singh
Company Secretary and Compliance Officer

Encl.: as above
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"Travel Food Services Limited
Q3 FY '26 Earnings Conference Call"
February 13, 2026

MANAGEMENT : MR. VARUN KAPUR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TRAVEL FOOD
SERVICES LIMITED
MR. VIKAS VINOD KAPOOR – WHOLE -TIME
DIRECTOR AND CHIEF FINANCIAL OFFICER – TRAVEL
FOOD SERVICES LIMITED
MS. CHHAVI AGARWAL – INVESTOR RELATIONS –
TRAVEL FOOD SERVICES LIMITED

MODERATOR : MR. ASHUTOSH JOYTIRADITYA – ICICI SECURITIES
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Travel Food Services Limited Q3 FY '26 Earnings Conference Call , hosted by ICICI Securities. As a reminder, all participant lines will

be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashutosh Joytiraditya . Thank you and over to you, sir.

Ashutosh Joytiraditya : Thank you, Huda. Hello and good afternoon everyone present on the call. I, on behalf of ICICI Securities, welcome you on Travel Food Services Limited Q3 FY '26 earnings call. I now hand the call over to Miss Chhavi Agarwal from Travel Food Services for further remarks. Thank you.

Chhavi Agarwal : Thank you, Ashutosh, and good afternoon, everyone. Welcome and thank you for joining us on the Travel Food Services Limited earnings conference call for the third quarter ended December 31, 2025. I have with me Mr. Varun Kapur , Managing Director and CEO, and Mr. Vikas Vinod Kapoor, Whole -time Director and CFO of TFS.

We will start the call with management presenting their perspective on the company's operational and financial performance during the quarter. Post that, we will open the forum for the question and answer session.

Before we proceed, here is a disclaimer to the call. A few statements by the company's management in the call can be forward -looking in nature and we request you to refer to the disclaimer in the earnings presentation for further details.

Now, I would like to hand over the call to Mr. Varun Kapur for opening remarks. Thank you.

Varun Kapur : Thanks, Chhavi. Good afternoon, ladies and gentlemen, and thank you for joining us for today's earnings call. We appreciate your continued interest in our company and its long -term growth journey. We hope you had the opportunity to go through our Q3 results and the presentation that was released yesterday , as well.

Starting off, I am pleased to share that Q3 was an excellent quarter for the company, characterized by strong financial performance. We delivered robust sales growth with system -wide sales increasing by 28.1% year -on-year to INR8.75 billion. This impressive growth was primarily driven by successful mobilization of more than 50 units over the last 12 months.

Driven by strong sales momentum , as well as our efforts on cost efficiency, we have achieved a 35.3% year -on-year increase in our adjusted PAT in the quarter, showcasing the continued strength of our business model and our market leadership.

Moving to passenger traffic trends, the third quarter is seasonally the strongest period of the year, driven by festive and holiday travel demand. In line with this trend, the quarter began with Travel Food Services Limited

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a visible rebound in passenger traffic during October and November, following the softness observed as we had all seen in the preceding quarter, due to aircraft maintenance -related issues. This positive trajectory was briefly disrupted at the start of December due to airline -related operational challenges arising from the implementation of the FDTL regulations . These were the crew rest regulations which temporarily led to flight restrictions for the country's largest airline. This resulted in short -term moderation in passenger volumes. However, the impact was short -lived. Underlying demand fundamentals remain robust and traffic trends in recent weeks indicated an immediate passenger volume recovery. For TFS operated airports, passenger traffic increased by 1.6% year -on-year in Q3, reflecting an improvement compared to the nearly 1% year-on-year decline seen in

Q2.

A point of note that during the temporary disruption in December, we ensured uninterrupted food service to affected passengers through proactive planning and operational action on the ground. Our centralized operations framework, supply chain efficiencies, master -concession structure across airports, and the scale of our operations proved highly supportive to the airport clients and passengers during this challenging period.

We had real -time monitoring of flight cancellations and delays, followed dynamic stock planning along with closely monitoring the manpower redeployment across lounges and travel QSR outlets. This helped us meet the unpredictable food and beverage requirements for the airports during those days, thereby allowing us to maintain service continuity despite heightened congestion and operational complexity.

While the business continues to be highly agile to tackle such challenging situations, our growth has been continuing at a robust pace with our system -wide footprint now expanded to over 530 travel QSR outlets and lounges , with the addition of about 30 units during the quarter. This continued expansion further strengthens our market leadership position in the travel F&B segment.

Our brand portfolio now spans 140 brands with 15 new brands added over the past year, including famous celebrity -led brands such as Gordon Ramsay Street Burger and Street Pizza, currently launched at Delhi and Mumbai airports, as well as internationally acclaimed brands

like Nando's, enhancing both the depth and premium positioning of our offerings.

During the quarter, we operationalized 14 travel QSR outlets at Terminal 2 of Delhi Airport, offering a curated mix of regional and international cuisines. Additionally, we commenced operations at Navi Mumbai International Airport through our joint venture, further increasing our presence to 19 airports. These milestones significantly strengthen our footprint across India's two largest aviation markets, Delhi and Mumbai, reinforcing our strategic position in high-traffic, high-growth hubs.

I would like to highlight, as reiterated in earlier calls as well, that we remain strongly focused on leveraging technology to drive business growth. Through our EATS platform, we have enabled direct bank-to-lounge access as an integrated service. This marks an important step in our evolution of becoming a tech-enabled, scalable travel hospitality company.

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Further, as spoken about in the previous quarter, we continue to focus on revenue optimization initiatives and targeted promotions aimed at increasing throughput and premiumizing our offerings. For example, we launched premium sleeping pods at the Bengaluru International Airport lounge, with this wellness offering designed to elevate passenger comfort while creating an incremental experience-led revenue stream within our lounge portfolio.

In addition, we introduced innovative and engaging customer-centric initiatives such as signature filter coffee and automated cocktail dispensers, enhancing the passenger experience through differentiated offerings. These initiatives not only drive higher passenger engagement as well as spend per pax but also reinforce our position as a premium and innovative travel QSR player.

Turning to our international growth strategy, we are actively pursuing lounge opportunities across the Asia-Pacific and Middle East markets, where we see significant long-term potential. We have already established a presence in Malaysia and Hong Kong, demonstrating our ability to successfully enter and operate in competitive international markets. Most recently, we opened our second Kyra Lounge at Hong Kong International Airport, marking an important step in our continued global expansion journey and reaffirming our ability to build strong relationships with airport operators and other clients as a preferred partner of choice.

nts as a preferred partner of choice.

We commenced operations at the domestic terminal of Cochin International Airport on schedule, with additional outlets expected to be launched through the year. We also secured the contract to operate 33 travel QSR units at Terminal 1 of the Delhi Airport for 11 years, which included extensions for existing outlets being operated there. With this win, we have further strengthened our presence across all three terminals at the Delhi Airport. In addition to this, we are excited to be close to launching new outlets at the greenfield terminals at Noida Airport and through our JV at Guwahati Airport as well, further contributing to a robust committed pipeline in the period ahead.

Therefore, before concluding, I would like to mention that our focus remains firmly on sustaining our strong growth trajectory and continuing our financial outperformance. This momentum is expected to be driven by disciplined execution across our existing business, continued operational excellence, and the successful mobilization of our recent wins.

So thank you, ladies and gentlemen. Now, I will request our CFO, Vikas, to walk you through the financial performance of the company in more detail.

Vikas Kapoor: Thank you, Varun, and good afternoon, everyone. As highlighted in our earlier calls, I would like to reiterate that our JV entity, Semolina Kitchens, was part of our consolidated financials for the first half and part of Q3 of FY '25 and was subsequently deconsolidated, as planned effective October 14, 2024. Accordingly, to ensure a like-for-like comparison and consistency in performance evaluation, the third quarter and first nine-month numbers have been adjusted to exclude the contribution of Semolina Kitchens. The details of these adjustments have been shared in the presentation.

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The third quarter is seasonally strong for the business and the scale up of recent business wins is also reflected in our financial performance. During the quarter, system-wide sales reached INR8.75 billion, registering a 28% year-on-year increase. Like-for-like sales growth stood at 12.5% at TFS managed airports on a system-wide basis, supported by strong execution across both domestic and international markets. Net contract gains increased by 13.5% year-on-year, driven by mobilization of the new sites.

Moving to the consolidated numbers, consolidated sales reached INR4.56 billion, representing a year-on-year growth of 18.3%. Like-for-like sales growth for the quarter was 7.1%, while net

contract gains increased by 12.3%, supported by operationalization of new business. In terms of profitability, gross profit margins expanded to 83.9% compared to 82.1% in the same period last year.

This margin expansion was supported by efficient procurement practices, lower cost inflation, and value unlock of our lounge aggregation business, which together contributed to the improvement in gross profitability. We have continued to manage our employee cost efficiently. During the quarter, we assessed the impact of the new labor code on employee cost and have taken a one-time charge, which is not material. In spite of this small one-off impact, employee cost as a percentage of sales were maintained at 15%, which is similar to Q3 of the previous year. This is because scale-up of operations across key airports which enabled better manpower utilization. We continue to maintain strong operating profitability, with an EBITDA margin of nearly 40% during the quarter.

Our consolidated PAT increased to INR1.37 billion in Q3 FY '26 compared to INR1.1 billion in the same period last year, reflecting a 35.3% year-on-year growth on an adjusted basis. This improvement was driven by disciplined execution, effective cost management, and increasing share of profit from joint

ventures.

On a sequential basis, consolidated sales increased by 28.2% supported by strong passenger growth of approximately 14% in Q3 compared to the previous quarter. This momentum translated into a 40% increase in profit after tax on a quarter-on-quarter basis. While this is seasonally a strong quarter, the improvement in earnings quality also reflects enhanced operating leverage, disciplined cost management, and the benefits of scale across our expanding network.

Turning to the nine-month performance, system-wide sales reached INR23.2 billion, registering a 24.5% year-on-year growth. Like-for-like sales stood at 12.2% while net contract gains were 10.2% year-on-year. This translated into a strong profitability growth with consolidated PAT increasing by 24% year-on-year on an adjusted basis during the first nine months. Our balance sheet remains strong with zero debt and a cash balance of nearly INR8 billion, enhancing our financial flexibility to pursue new growth opportunities.

With that, I will close the opening remarks and hand it back to the operator to open it for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Naeem Patel from Bastion Research. Please go ahead.

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Naeem Patel : Hi. Thank you for this opportunity and congratulations on a very good set of numbers. My questions were around working capital side. If I look at trade payables, they were around INR330 to 340 crores in FY '25 as well as in H1 FY '26. So I'm puzzled to understand that who do we owe these trade payables to and what is the right way to look at it, considering that we are in a QSR business? So if you could throw some color on that, would be helpful.

Vikas Kapoor: Hi. This is Vikas here. I'll take this question. So our trade payables are to our normal vendors. Yes, we are a QSR player and we pay our vendors on a timely basis, but a part of our trade payables is also for capex and some of the projects that we currently are underway, in terms of building capacity across our network. So from that perspective, these are regular trade payables that we have in our books of accounts. Another important point is, a part of our trade payables is also reflective of our lounge aggregation business, which we do for some of the long-tail lounges and that is getting reflected in terms of the payables as well.

Naeem Patel : Got it. And considering, like we have opened a new lounge in Cochin Airport as well. Like you have mentioned in the past that it would take 12 to 18 months for a typical lounge to mature. Considering this is already an operational airport, how long would it take for us to stabilize this lounge?

Varun Kapur : So, yes, Varun here. In terms of a running airport while it's there, part of the thing we will be doing, mobilization of that lounge and upgradation of that lounge in a phased manner. So I think question you have is versus a greenfield, while a running airport has those numbers coming through, but in terms of capacity you would be seeing some upgradation happening there. No doubt, over a period of time the performance and the ability to generate additional revenue once that phasing is complete, say over the next 12 to 14 months, it would have a kicker tied into it.

Naeem Patel : Understood. That's all from my side. Thank you and best of luck.

Moderator: Thank you. The next question is from the line of Aachal Pal from Monarch Net worth. Please go ahead.

Aachal Pal: Thank you for the opportunity and congratulations on a good set of numbers. So sir, my first question is, in the current LFL growth, how much growth is coming from volumes and how much is from value?

Vikas Kapoor: I'll take this question. So in terms of, as Varun had mentioned earlier, the PAX growth has roughly been in the range of 1.

6% for the quarter as well as for the nine -month period across our system -wide sales. But what we do as a standard approach and an operating leverage that we have across our network, we focus on revenue enhancement activities, improving the ATV and the penetration levels , so that the realizations at airports improve.

Further to this, what we have also seen is that some of our international markets have performed strong LFL growth mainly because of an uptick in their traffic and improvement in their realizations as well.

Varun Kapur : Yes, I think I'll add to what Vikas said as well. I think to a particular point, so LFLs, you would have seen our system -wide numbers about 12.5%. You know, passenger traffic at the same time

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has been in the quarter about 1.5%. So the delta of about 11 . Our price normally is largely in line with the increases with inflation. So you would assume a decent proportion of that would be driven, portion by price, but a decent amount driven by revenue enhancement objectives, which is what I was mentioning as well, in my introduction.

Aachal Pal: Okay. So my second question is, could you share the current bidding pipeline and how many airports are under evaluation over the next two to three years?

Varun Kapur : So in terms of the way we look at opportunities in airports, the way we work as well, opportunities come up not only for master concession but also come up in sections for airport.

Like for example, certain airports have terminals, sometimes there's an opportunity for a certain set of units. So for example, if you look at our wins, which I was talking about, we recently won at Delhi Terminal 2, which we had mobilized. And similarly, Cochin Airport was one where we started mobilizing, so that's still in the pipeline.

In addition to that we have Delhi T1, a recent tender which includes some existing outlets but as well as new outlets in Delhi Terminal 1. We have also, Noida, we have new Guwahati Airport coming in which will be under a JV , there we'll be mobilizing units. And aside from that, opportunities not only in India, we'll be looking at opportunities even outside of India for which we had set up joint ventures as well.

So the pipeline, both in India and internationally , as these opportunities come, one, there's a lot of mobilization already in the pipeline, as well as obviously new tenders as and when come up, we are quite active in looking at these.

Aachal Pal: Okay. So sir, like could you number it like till by FY '28 how many airports we will be present, if I see currently, we are at 19 airports? So if you want to number it?

Varun Kapur : So what we can probably say, so while we do look at the universe, because our way is that we would not compromise our return metrics. So, we do take part in opportunities. Aviation as you know is a fast -growing sector and obviously the infrastructure that's happening on all fronts is quite impressive there , in terms of the growth. So the opportunities are quite a few. We are obviously the market leader, so we will be present, one would see as in the past, in considerable number of those. But I'd like to call it probably a number may not be there but the universe what we generally look at is, airports that are over you could say roughly that 2 to 3 million mark , is airports that make sense for us from a scale point of view to look at.

So as those opportunities keep coming up . We would look at that universe for expanding into, aside from obviously the international airport opportunities that we did Malaysia, we did Hong Kong, including one this year as well, we opened an additional lounge in Hong Kong Airport.

So those opportunities are over and above that .

Aachal Pal: Okay. Got it. So sir, currently we are just focusing on airport or we are planning to expand our highway QSR as well?

Varun Kapur : So that's

a good question. So like, answering earlier piece, airports I think , was answering that particular question, but yes, highways very evidently for us is a key growth area. We see

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highways as being where airports were probably when we entered the business in 2008. And we see highways being at that stage, significant government investment, private participation happening, even the way nature of highways right now is in the form of expressways, which are access -controlled highways.

You know, with the wayside amenities, these are semi -captive locations, set distances apart, expressways have controlled access. So, they work very well for a player like us, larger investments, scale, multi -brand opportunity. And we do see that as being, now it's not something we'll just jump into and do everything today, but it'll be a phase -wise calibrated approach to ensure we deliver the returns and get the business model right. So we see that being a long -term opportunity because there's a very significant scalable opportunity there in India .

Aachal Pal: Yes. Okay. thank you. That's it from my side.

Moderator: Thank you. The next question is from the line of Dhiraj Mistry from ICICI Securities. Please go ahead.

Dhiraj Mistry: First of all, congratulations on good set of numbers. I have two questions. One is on the new airport which is going to come in our portfolio, the Cochin Airport and Noida Airport, what is the expected timeline, by when we can start building in revenue from those airports, going ahead?

Varun Kapur : Hi. Hi Dheeraj. Thank you for the congrats. So just in terms of those particular airports, it depends actually, so first maybe just an overarching element, it obviously depends on the nature of the airport. So a running airport like Cochin, would obviously the numbers would come in, because it has a particular capacity there. In the case of Cochin particularly, we have some units already mobilized there and part of the schedule plan there, we will be mobilizing additional units through this year. So you will be seeing that revenue uptick happen as we mobilize those units.

In the case of airports like Noida or even Navi Mumbai, which are generally greenfield airports, those airports ramp up in a phased manner, as the airports open up, as their phases open up, as additional passengers come in, our revenues get tied in. So I think those airports you would potentially see being more meaningful in the next financial year, or the second half of the next year, as those passenger volumes uptick does happen and our stores get mobilized. So I think that's probably the way to look at it in terms of a greenfield versus, an airport that was already running, a brownfield airport.

Dhiraj Mistry: Okay. And just for clarification in this part, in Cochin Airport we have lounge business as well, right?

Varun Kapur : That's right. We operate the lounges in Terminal 1 Domestic Airport and we have currently mobilized those, like I mentioned, I think, to an earlier question, that we will be doing the uplift and upgradation of that in a phased manner, but we are running that lounge currently.

Dhiraj Mistry: Okay. It's currently operational, right?

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Varun Kapur : That's right. And our value proposition, with the renovation upgrade, will improve as that kicks in, but yes, we are currently operating it.

Dhiraj Mistry: Got it. And second question is about our share of profit in associate and JV and then minority interest also. So we have seen good amount of, we have already seen somewhere around INR44 crore s of share of profit from associate. How should we think of this line item going ahead? Obviously, it's going to increase, but then there is no clarity in terms of what kind of incre

ase

we can expect on that kind of a number. Can you give some maths where we can work on this number?

Vikas Kapoor: So Dheeraj, Vikas here. Thanks for that question. So in terms of our JV, basically what is happening in our joint ventures is, as we said that each JV is going through its own phase of expansion and within that expansion, quite a few of the units are materializing faster. So say for example – Mumbai, our airport was an existing running airport in our joint venture Semolina Kitchens and recently we have kick-started operations in Navi Mumbai.

As Varun alluded earlier, Navi Mumbai will grow in phases and as it mobilizes much more, profit pick-up from that will start contributing to the overall pie. Similarly, in Semolina Kitchens, we are expecting the new Guwahati terminal to contribute substantially to the Semolina Kitchens profitability.

In the case of GMR Hospitality, the other joint venture, we have mobilized quite a few units in Hyderabad, but still there is further more mobilization which will happen in the current year as well as in the next year. And as that starts picking up, we will see an uptick in the JVs and associate profit line.

Also another point you have to note is that, we have our international business which has started performing well, specifically markets like Malaysia and Hong Kong, wherein traffic uptick was a bit slower from the COVID phase, that has now started normalizing and from there we are seeing improved contributions to our JVs and associate line.

Dhiraj Mistry: Got it. But just for one clarification in this part, whether the P&L of all these JV, especially Semolina, would be more or less replicating to TFS P&L?

Vikas Kapoor: Yes, because in terms of the business model, it is same travel QSR and lounge business, which is kind of a replica of the TFS model.

Dhiraj Mistry: Got it. And last question from my end on minority interest. When is Delhi T3 going in GMR JV and what would be the amount of minority interest going forward after that?

Vikas Kapoor: So our Delhi T3 is an existing joint venture as part of the SPV, when we had won that contract, wherein we hold 60% and DIAL holds 40%. The contract, as you are aware, has been extended till September 30th. When the contract will come up for renewal, people will bid for it, the various entities, and whoever wins the tender would be consolidating or running the operations.

So at this moment, I can't say where it will land because it's an open tender.

Dhiraj Mistry: Got it. Thank you. That's it from my side.

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Moderator: Thank you. The next question is from the line of Purva from B &K Securities. Please go ahead.

Purva : Hi. Good afternoon team. Congratulations on good set of numbers. So my question was related to Delhi Terminal 3. So with domestic traffic at Delhi Terminal 3 reportedly declining to 50% due to flight movements to T1 and T2, how this will affect our Delhi Terminal 3 revenue?

Varun Kapur : So Purva, Varun here. So in terms of just conceptually what we see in the airport, and that's why, our business model is about being present across there, and being market leaders, that's the advantage of our position and it makes sense in travel, because obviously airports have multiple terminals. Now, in the case of Delhi, Delhi is continuously growing. It's an airport that's growing well. However, there obviously terminal, the capacity part of the overall line of expansion, they are mobilized. So today T1, T2, T3 are running. T1 is, very impressive, the new T1 terminal, significant capacity. So obviously traffic is being balanced across the terminals to unlock more potential in the existing airports.

So with that movement, Delhi Terminal 3 particularly may have seen some drop in numbers, they're doing some upgradation work there, and that reflects probably in the num

bers, while

we've driven, good amount of sales and profitability there. But I think, the additional area is that in T1, you are seeing incremental demand where we are present as well. You're seeing T2 where we won the tender as well. So we actually touch all three terminals at Delhi Airport and actually leverage the consumer there. In addition, in Delhi part of the T3 upgradation, what you'll see play out in the future, is there'll be a third international pier unlocked. And that will actually unlock international demand where spend is higher.

So in reality, that's just generally the direction in travel in India, there is unlock of additional passenger capacity as these infrastructure movements happen. You could have short-term impact at one airport, but our beauty of our business model is we tap across and we see the benefit if, it goes a bit down somewhere, we get a bit much more than that elsewhere. So that's I think what works well for us.

Purva: Okay. Got it. And second question was related to PAT margins for your SSP Malaysia and Hong Kong entities. They have been lower than overall company average. So could you help explain the key factors for this and can we expect it to go back to the company-level PAT margins?

Varun Kapur : Sure. So international, I think as spoke about this also on a previous conference call, if you see international, relatively, both our enterprises set up post-COVID, and in the case of Malaysia was a ramp up that happened over a period of time, a set of units mobilizing from '21, '22, '23, and '24 as well. So as expected, that business has been mobilizing and as we've always said, in the greenfield and especially more so in a new market where you set up, it takes you that 18 months of getting there, maybe the case of Malaysia 18 to 24 months to get there. Currently, the business is performing very well. Traffic also in that market compared, because of the Chinese travel effect, as many of you would be aware, they came much later to the recovery post-COVID. But, this year Malaysia and Hong Kong have been very, very strong passenger traffic recoveries in those markets. So those numbers are reflective and I think Vikas alluded to the fact that they're actually contributing quite strongly now.

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And we expect that we see that will be at a similar level. We don't see any difference really in how that financials do play out for us. I think especially with Hong Kong being more recent, we had set up a second lounge in Hong Kong Airport just last month. So you'll see the benefit of that also probably kicking in over a period of 12 months. So I think both the businesses currently are performing quite well and will further improve from here.

Purva: Okay. And lastly was can you quantify how much was revenue for SKPL and GHL for the Q3 FY '26 and nine months?

Vikas Kapoor: Yes. So Purva, both the sales have grown, in spite of the passenger traffic remaining at 1.6%. What we have seen is an improvement in the ATV and the realizations because of the expanded network. We would not be sharing the specific numbers of the JV, but on a broad basis, if you subtract between system-wide sales and consolidated sales, that would be roughly around INR4.1 billion of sales which we have from our JVs. And predominantly within that, Semolina and GHL contribute substantially.

Purva: Okay, thank you. That's all from my side.

Moderator: Thank you. The next question is from the line of Aman from InCred Capital. Please go ahead.

Aman: Hi. Thank you for the opportunity, sir. So my first question was that in terms of our growth,

what was the mix between lounges and QSRs?

Vikas Kapoor: Aman, thanks for the question. Vikas here. So in terms of growth, the way we look at it, our travel QSR and lounge contribution to our revenue or top -line has not seen any differential change in the

mix. So the growth has come from both the businesses as such , and it is reflected in the 12.5% LFL on a system -wide and similarly 7.1% at a consolidated level. So both the units are performing well , in terms of contributing to LFL and net gains.

Aman: Okay. any breakup you have in mind?

Vikas Kapoor: So predominantly lounge contributes somewhere in the range of 40 % to 42% of our overall revenue mix and travel QSR is in the 50 % to 55% range. So that's been our typical range of both the business es

Aman: Okay. And the second question was, so we are in 13 of the airports out of 15 in India. So what has led to the growth? I mean the top five airports are seeing the growth , in terms of the passengers transacting more , in terms of QSRs or lounges, or is it a broad -based trend that you are seeing?

Varun Kapur : Hi Aman, Varun here. So I think what we've been seeing, I think the big difference that's happening actually even before COVID as well, but surely after, India's seeing a very broad -based growth on passenger traffic. So leave aside Q2 of this year, because that was when the aircraft maintenance issues happened, unfortunately post the crash, but basically other than t hat, what we've seen is been quite a broad -based growth across both the big and the small airports.

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So I think that's the impressive piece, because obviously measures in the big airports no doubt with the international traffic, those areas do grow well. But at the same time, with some of the initiatives done by the government around UDAN scheme and, the proliferation of more airlines, the fact is many of the smaller airports are getting a fair share of growth as well.

So actually , it has been quite a broad -based set of growth. And obviously within that you may have some airports likely doing more. For example, you see an airport like Goa Mopa growing very well, places like Guwahati, you have examples like that, but generally it has been quite a broad -based growth across the country.

Aman: All right, sir. Sir, my last question was that, you know...

Moderator: Sorry to interrupt you, Mr. Aman, but can you please rejoin the queue for more questions?

Aman: Sure.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal : Yes. Hi. Very good afternoon, Varun and Vikas. Just few questions. Firstly on the renewals lined up, going into from now to next two years, could you just highlight which are the airports on the existing network which are lined up for renewals?

Varun Kapur : Hi Rahul. Yes. So in terms of opportunities coming up, we have next two years , three contracts. So the Delhi contract I think someone asked that before, so Delhi Airport the contract for Terminal 3 does come up in September. We obviously had a short -term extension on that. We have then in the next year , coming up are contracts at Chennai and then Kolkata come up as well for renewal. These are probably the next two years the only ones in my mind that come up for renewal.

Rahul Agarwal : And Chennai, Kolkata are due when?

Varun Kapur : It is in the next calendar year, I think next financial year, it comes the early part of FY 27 -28.

Rahul Agarwal : Okay. Got it. Thanks for that. And in terms of, new airport bidding, right now could you just highlight like which airports are going to, go for bidding from a new contract angle going into next 12 months, and this is only domestic I'm talking about?

Varun Kapur : So in terms of opportunities coming up for bidding, so for example , we know Bangalore Airport T1 just as a perspective, if you're a traveller , you see there's a lot of upgradation work happening there. I think the airport's got quite ambitious in terms of what they're planning there, it's very interesting and I think that's an opportunity , because I think , when yo

u fly there you can see that

work happening in that airport. So significant upgrade, which will obviously entail new opportunities coming up in the non -aero side as well. So we see that obviously as one that will come up in the short term.

I mean, there will be multiple, so for example , we are present at 14 of the 15 largest airports.

Our universe is over 25 airports. Even those 14 out of 15, there are a lot of areas we're not

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present at. So there will be opportunities, for example in Mumbai Airport T2, there will be opportunities coming up there for redeveloping units as well. So there will be multiple opportunities coming up in this phase, but , Bangalore is the big immediate one that I know was coming up. I think I spoke previously in the last -to-last quarter about Cochin and Delhi, so obviously those have fructified. So the next probably one to look at would be Bangalore immediately.

Rahul Agarwal : Perfect. And just lastly on the Chennai and Calcutta, Bangalore overall like -for-like, how is the traffic behaving there , because those are like core part of the portfolio? Just some sense on outlook, how do you look at traffic growth and, our like -for-like growth going into next year?

That's all from my side.

Varun Kap ur: So sure. Chennai and Kolkata obviously from a size point of view would be in the top 10 airports in terms of traffic. So the growth has been in those airports, while Chennai has been a bit of a stronger performer in terms of traffic growth, Kolkata has had a slower growth. So Kolkata has been one of those airports where I think in Q3 saw a slight decline, but Kolkata, it was the only one in the top 10 if I recollect in Q3 saw a bit of a decline. Otherwise, we saw most of the other airports actually have an increase , during that period.

Rahul Agarwal: Yes, I was looking for more color for the next year , in terms of your own thoughts on like -for-like growth for these airports?

Varun Kap ur: In terms of passenger traffic , if I may refer to that because , obviously that's a key determinant. So generally , passenger traffic has been positive in airports, like, we're not used to talking about de-growth. Obviously, this year was the one period where we had it in Q2 , and a little bit remnant of that. Obviously now you can see very evidently the trend is changing.

So k it would be prudent to say we'd be back to growth in next year. You know, the indication has been that over the next, even at the time of the IPO when we had and during our first call, we spoke a bit about this , I think the expectation on passenger traffic growth generally is the 7% to 9% range is what you generally hear , over the next decade or so of travel. So, you may have some years a little bit less, some years a bit more. I think that's generally been the callout , if you refer to any source of credible information that tends to be over the next 10 years , what passenger traffic looks at.

And obviously our perspective is on top of that price, on top of that our initiatives we drive on top of this passenger traffic, which is our LFL, plus, net gains we can drive, which is new wins like some of the ones we spoke about. I think the pipeline of growth is quite significant for us on new wins. So that's the way we look at our business model. It's quite healthy between LFL and net gains. And even in a challenging period like this, we've been able to deliver 28% system - wide growth in sales , through a balanced combination of LFL and net gains, almost equally split between both.

Rahul Agarwal: Perfect. Got it. Thank you so much, Varun, for answering the questions, and best wishes to you guys. Thank you.

Varun Kapur: Thank you so much. Thanks for your questions. Appreciate it.

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Moderator: Thank you. The next question is from the line of Vatsal Dujari from Tata AIA Life Insurance. Please go ahead.

Vatsal Dujari: Hi team. Thanks for the opportunity and congratulations on a good set of numbers. I wanted to get some more clarity on the LFL situation this quarter. So you mentioned how December was impacted by disruptions. So could you provide some more granularity as to how was the LFL growth looking like in October and November and what it went to in December and any clarity on, whether it's back on the normal path?

Varun Kapur: Yes. Hi Vatsal. So thanks for your question. So in terms of where we saw, I think the perspective actually would have been we probably would have ended higher in terms of the numbers, while I think we did see robust growth. And that's not saying less, but yes , we probably would have even done better if there wasn't that flight disruption that caused December traffic to be a bit hit.

So we saw October bounce back reasonably well. We saw November be at many airports, record traffic . We saw some very strong traffic in November. December in a sense there was a slight plateauing in some airports and de -growth as well , because of the very short -term temporary effect that happened. And it was quite extreme . Because you did see for that period delays for the first two -three days , and then you saw a considerable amount of cancellations. So undoubtedly, the effect of that would be that the overall numbers for the month and therefore our numbers and LFL would get disrupted, which did happen.

But the demand was so strong that it came back very quickly , already January trends are completely back to normal and, actually growing quite well. So the perspective is our LFLs, yes, for the month of December would have been even better if it was business as usual, if that's

answering your question.

Vatsal Dujari: Got it. And another question on the LFL more from a medium-term perspective. So the divergence between traffic growth at airport and LFL is 10 %-11% kind of range. So from a 3 to 5 year perspective, how much do you feel this kind of divergence is sustainable? This double-digit kind of divergence between your LFL and passenger traffic? And, what kind of an LFL growth are you comfortable with or you expect this extent of divergence to continue over the medium term?

Varun Kapur: Yes. So I would maybe take a step back in the way we see our business model always is that, there is undoubtedly in our sector underlying passenger growth. And that is obviously a key driver of PAX coming in and therefore our sales. But what we drive, and we've seen that I think over the entire period we've been operating. And I think we've understood that quite well and we drive it quite well as a business, is that over and above passenger traffic, we do achieve a delta to drive our LFL.

And that's done through a combination and maybe I'll simplify for the sake of the call, is being probably two factors: one on price and one in terms of revenue driving initiatives. So in terms of you see traffic, in this quarter was about 1.6%. We achieved an LFL of about 12.5%, so you

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see an 11% delta playing out there. Normally somewhere like that's roughly, you normally see that upside being in that 9 %, 10%, 11%, 12% range in terms of outperformance.

And that comes through that combination of, A) yes inflation, which drives up price, but B) and importantly, our revenue enhancement that we drive. So this could be promotions, this could be initiatives we do around things like we did Food @Gate, which is a thing we piloted, where we actually delivered food to consumers at gates, you know when they go straight to people in Indian airports, a lot

of people go straight to the gate, anxious, first-time flyers. We made people go around with iPads and going to the gates and taking orders. That probably, contributed incremental LFL

So those type of initiatives on a continuing month-on-month basis, like a simple example we gave, special filter coffee. I spoke about that when I was talking. Something like that, filter coffee not only in the south, but people are enjoying it across the country. We did a wide initiative around that very successful for us. That's a pure LFL driver in terms of revenue optimization. So, those types of areas drive that delta between passenger traffic and LFL growth, and it's been quite stable for us, and that's what we do. That's the USP of our business model.

Vatsal Dujari: Got it. Thank you, a lot, for your answers and all the best for the coming quarters.

Varun Kapur: Thanks a lot.

Moderator: Thank you. The next question is from the line of Praneet Kumar from Kotak Securities. Please go ahead.

Praneet Kumar: Hi, thanks for opportunity. I just have a couple. The first one is on EATS. So how should we think about the revenue potential of this particular business, and while it's early days, how many lounges did we expand this to and, does it also cater to other lounges which are beyond the system of TFS, and how about profitability of this particular business? Thanks.

Varun Kapur: Hi Praneet. So in terms of our EATS solution, yes, no, I think as you rightfully said, it is early days for us. We are a business, no doubt technology has always played an important part for us, but even more so. It has been something, obviously you can imagine that rolling out and going live entails a lot of work and period at the backend, which we have done.

The key point is, it has been successfully rolled out. I think it's clear evidence in terms of some of the outperformance as well as the consumer experience at the ground. So, we rolled out the direct bank-to-lounge access that is there, one can see directly on this EATS platform. And we are confident while it is early days, it's already showing us benefit. We're seeing that contribute positively to us both in incremental revenue, and it will, I think already incremental profit as well, and we see that playing out probably more so over the next few quarters as we build this out more effectively. It's a constant learning experience.

We see a lot of potential for this, but it's one of those areas where we believe A) we have quite a focused strategy on this and as we unlock more and more, we'll be coming back and we'd love we will be constantly sharing some of those initiatives. But there's a lot we're working on, a lot

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of opportunity we see in taking this, even further in the initial success that this has proven for our business model that's been there in this financial year.

We are touching and maybe answering your last part, we are touching all of our lounges as you would imagine, but also the solution being quite effective and recently we've actually tied up

with lounges, even that are not ours, and you can provide that solution to them. So that's also an additional upside that we get by developing such a successful solution. It can be actually used outside of our network to support other smaller players in smaller airports. So, but it has actually been quite a big success for us, and we will undoubtedly be growing on this part of our DNA with TFS.

Praneet Kumar: Thank you. Very helpful. And my second question is on the occupancy fee direction. Now we have a couple of new airports, right? One is Noida and then we have onboarded a couple of units from Cochin and Delhi as well. So directionally for the next two years what do you think that occupancy fee would be? Are these new airports coming at higher occupancy fee compared

to what we have currently or at similar levels? So that's it. Thanks.

Vikas Vinod Kapoor: So Praneet, Vikas here. So in terms of occupancy fee, what has been the general trajectory in our business is that when an airport kind of gets in our network, we do see a jump in the occupancy fee for that purpose, but it kind of stabilizes after a point of time, which we have built into our business case, because we know how the sales will ramp up, and how the airport traffic will move.

And it tends to then, which is the exact 12 to 18 months which we normally allude to, that by 12 to 18 months we see it coming back to the normal level as the rest of the portfolio. So that is how has been the general trajectory, and we work towards that. So it would be in the same ballpark, after a small blip for some of the new airports.

Praneet Kumar: Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Akshay Krishnan from ICICI Securities. Please go ahead.

Akshay Krishnan: Hey, Hi, Varun and Vikas. Great performance. So few questions from my end. So if we look at the last few quarters, so when we compare the revenue growth and the passenger growth, vis-a-vis, the revenue growth has been a notch higher than the passenger growth. So I just wanted to understand the delta that's been coming in from the higher spend that per passenger versus the premiumization in the mix shift. So how sustainable is this revenue performance versus the traffic growth?

Varun Kapur: Yes. So I think the point is that, we've seen is that, this actually has been our business model from the very beginning. I think, what we've done is over the last few years actually been able to unlock that quite well and sustainably. So we've always seen that scenario where, that incremental of a combination of price, and more importantly revenue optimization initiatives, have led to that delta and that's purely on LFL. This is aside from net gains.

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So you see, in terms of PAT we outperform on the LFL side, but the net gains which has been the DNA of our business, I mean, a few years back, we were at present at for example seven airports, pre-COVID. Today we are present if you see the entire network, 19 airports. That's a question of net gains. That is irrespective of the passenger growth which has been quite robust. And on top of that we've had LFL above that. We've also delivered quite high net gains. But we generally believe we're just scratching the surface because new terminals, even the existing terminals we're at, there's significant growth in that so that's why the entire opportunity is a combination of LFL and a combination of net gains.

And obviously catering to such areas as delayed flights, the fact that, our scale plays out, and with our scale we can unlock more opportunities. You know, all of those elements really play out in that LFL growth as well, aside from the revenue optimization I was speaking on earlier.

Akshay Krishnan: Perfect. The second question is on the PAT margin. So if we look at the Q3 numbers, so our margins has expanded close to around 30 percent. So how much of this expansion is from the operating leverage from the new unit ramp-ups versus the structural cost optimization, and should we view this current margin as a new base or is it closer to the peak?

Vikas Vinod Kapoor: So basically in terms of the PAT margin, what exactly happens is, yes, our PAT margin has improved mainly due to quite a bit of factors: one is of course the disciplined execution on the new projects that we have been following. The further important thing is that yes, our PAT margin has been in the range of 27% in Q3, but it is a seasonally strong quarter, very similar to what Varun alluded as part of the delayed flights and the scale that we operate.

Our PAT margin has been in

the range of 20% to 22%, before the share of the joint ventures

and with the addition of the JV profitability, it kind of moves to the 25% to 26%. We believe it will be stable around that phase, but as we continue to expand and build on new projects, we expect the PAT margin to continue in that same threshold.

Akshay Krishnan: So what will be the contribution from the new unit ramp-ups which has actually helped us in this delta buildup?

Vikas Vinod Kapoor: So, one important factor you have to take is, some bit of the PAT margin has started to be contributed by EATS, which is just started to contribute to that. Also with Cochin which is one of existing airport which is there and not a greenfield airport. We believe very similar to what Varun said at the start of the call will start contributing a bit faster. But from a range perspective, I believe that we should be in the comfortable range of that 25 % to 28%. We will continue to outperform that.

Akshay Krishnan: Perfect, great. And one final question, if I may. So what proportion of the system-wide revenue is from the premium brand versus the mass format, and how does this impact the margin volatility going forward?

Varun Kapur: You know, honestly, we don't see it as being one versus the other, we don't look at the business in that way. What it tends to be for us is it's a portfolio approach across. So you know, in terms of the brands as well, we look at it as having a multitude of offerings there. So it could be the very same traveller, and today many people travel frequently, it could be that very much that Travel Food Services Limited

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you're going today in the morning, and you want to go to the South Indian concept which may be deemed as value. But maybe the next time when you're flying in the night and you're with your family, you want to go try the Nando's or the Gordon Ramsay restaurant and want a nice you know, great premium experience there.

So in some sense we see the same traveller actually unlock multiple areas. So our portfolio approach is what we see. And yes, because you'll have some outlets which may be in-house, which may be slightly more profitable. You don't have royalty to pay, we have third-party brands where we pay a royalty. But the portfolio approach of all that coming together is the way our business model works, because you can't have one concept across 50 locations in an airport. So getting the right mix to maximum to extract value and therefore the highest IRR, that is our business model.

And that's how we generally look at our business as a multitude of offerings rather than saying that oh let's do more premium or more value or for example let's do more in-house or it's always a portfolio approach, that's the way we look at evaluating the business.

Akshay Krishnan: Perfect, perfect. That's it from my end and good luck and all the best. Thank you.

Varun Kapur: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Varun Kapur: So, yes, thank you. Thank you very much to the ICICI Securities team for hosting us, and appreciate all of you taking the time today to join us for the earnings call, post our Q3 results.

So if you have any further queries, do feel free to reach out to our Investor Relations team.

Thanks a lot.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

3rd June, 2026

To, To,

Department of Corporate Services Listing Department
BSE Limited The National Stock Exchange of India Limited
P.J. Towers, Dalal Street, Exchange Plaza, 5th Floor, Bandra Kurla Complex,
Mumbai-400 001. Bandra (East), Mumbai-400 051
Scrip Code: 544443 Scrip Code: TRAVELFOOD

Dear Sir/Madam,

Sub: Earning Call Transcript – Q4 FY2025-26 Audited Financial Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings/conference call hosted by the Company on May 26, 2026, post declaration of Audited Financial Results (Standalone and Consolidated) for the quarter and year ended March 31, 2026.

The above information is also being uploaded on the website of the Company-
www.travelfoodservices.com.

This is for your information and records.

Thanking you,

Yours truly,
For Travel Food Services Limited

Neeta Arvind Singh
Company Secretary and Compliance Officer

Encl.: as above
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"Travel Food Services Limited
Q4 FY26 Earnings Conference Call "
May 26, 202 6

MANAGEMENT : MR. VARUN KAPUR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TRAVEL FOOD
SERVICES LIMITED
MR. VIKAS VINOD KAPOOR – WHOLE -TIME
DIRECTOR AND CHIEF FINANCIAL OFFICER – TRAVEL
FOOD SERVICES LIMITED
MS. CHHAVI AGARWAL – INVESTOR RELATIONS –
TRAVEL FOOD SERVICES LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

Travel Food Services Limited
May 26, 202 6
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Moderator: Ladies and gentlemen, good day and welcome to the Travel Food Services Q4 FY26 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the

listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.

Manoj Menon: A wonderful good afternoon to everyone. Representing ICICI Securities, it's our absolute pleasure to host the management of Travel Food Services Limited, once again for the results call. This time it's the Q4 FY26. Without much ado, over to Chhavi from the management for the detailed introduction of the management team and beyond the call. Thank you.

Chhavi Agarwal: Thank you, Manoj, and good afternoon, everyone. This is Chhavi Agarwal, Investor Relations at Travel Food Services Limited. Welcome and thank you for joining us on the Travel Food Services Limited earnings conference call for the fourth quarter and full year ended March 31, 2026. I have with me, Mr. Varun Kapur, Managing Director and CEO, Mr. Vikas Vinod Kapoor, Whole-Time Director and CFO of TFS, to discuss the operational and financial performance for the fourth quarter and for the full year and address the question-and-answer session. We will be referring to the earnings presentation, press release, and the financial results uploaded on the stock exchanges.

Before we proceed, here is a disclaimer to the call. A few statements by the company management in the call can be forward-looking in nature, and we request you to refer to the disclaimer in the earnings presentation for further details. We now will be starting the call, and I would like to hand over to Mr. Varun Kapur for opening remarks. Thank you.

Varun Kapur: Thank you, Chhavi. And thank you, Manoj, for the introduction. So good afternoon, ladies and gentlemen, and thank you for joining us for today's earnings call. We hope you had the opportunity to go through our Q4 and full year results and the presentation that was released yesterday.

FY26 has been a defining year for us. Not only as our first full year as a listed company, but at the same time, being one that has been marked by multiple disruptions, ranging from war-like events to airline-related challenges, which tested the resilience and adaptability of our business in a dynamic operating environment. As I talk about the fourth quarter and the full year, I would frame our performance across three dimensions. First, the evolving industry backdrop. Second, our operating performance, and third, how we are positioning the business to capture the next phase of growth.

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Let me begin with the industry environment for the quarter and the year. Passenger traffic in the fourth quarter saw a continuation of trends observed through the year, a sector that remains structurally strong but with some near-term volatility.

The quarter opened with encouraging momentum supported by seasonally strong travel demand. However, growth moderated following the escalation of the Middle East conflict in early March, which weighed on international travel sentiments and impacted Gulf-bound routes and NRI travel. As a result, passenger traffic across our network airports was broadly flat year-on-year, during the quarter.

It is apparent to all that the Indian aviation sector has faced multiple challenges during the financial year. It started with the India-Pakistan geopolitical

conflict in May 2025, which caused temporary air traffic disruptions at the outset of the financial year. The second quarter was then impacted by reduced flight schedules due to maintenance and safety reasons, following the unfortunate aircraft crash in June of last year.

In December 2025, airline-related operational disruptions arising from the implementation of FDTL Crew Rest Regulations temporarily curtailed the capacity at India's largest carrier. And in the last quarter, traffic growth was impacted, as we all saw, by the ongoing Middle East conflict.

Due to these reasons, passenger traffic at TFS managed airports saw a muted growth of 1.2% year-on-year for the full year FY26. That said, we observed that passenger volumes recovered quickly following each disruption, reinforcing our view that underlying demand remains strong. Structural drivers which include low penetration of air travel, rising disposable incomes, expansion of airport infrastructure, and increasing propensity for travel, continue to support long-term growth in the sector.

During the periods of disruption that I spoke about earlier, we were able to maintain operational continuity supported by our agility and disciplined execution. This same operational resilience continued during the conflict situation in the last quarter. We reduced our reliance on gas wherever applicable, menus were re-engineered to prioritize centrally supplied items, reduced on-site cooking load, and raw material stocking was monitored closely to avoid stock-out

situations. Our centralized operating model, strong supply chain capabilities, and scalable platform have enabled us to respond effectively to such situations at airports.

Moving to our performance. Despite these sectoral headwinds, TFS has delivered a strong and resilient performance for the full year. A key highlight of the year has been the continued expansion of our system-wide footprint. We have strengthened our presence across airports, growing our network to now 20 of them. We have opened outlets at newly entered airports like Cochin and Navi Mumbai, as well as further strengthened our position in existing key airport hubs. During the year, we operationalized new outlets across Terminal 1 and 2 of Delhi Airport, which meaningfully enhances our presence across all terminals at one of India's most strategic aviation hubs.

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In terms of network, our system-wide presence now exceeds 550 travel QSR outlets and lounges. This expansion has been driven by the successful mobilization of 76 travel QSR units in FY26 across airports, including Delhi, Mumbai, Ahmedabad, Cochin, and Navi Mumbai. And on the lounge front, we've opened a lounge in Cochin and we opened a new lounge, Kyra Lounge, at the Hong Kong International Airport in partnership with SSP and Airport Dimensions. This marks an important milestone in our international lounge journey and highlights our ability to deliver premium lounge experiences in international environments. Alongside network expansion, we have continuously focused on premiumization and curation of our offerings to enhance the passenger experience. Our brand portfolio has expanded meaningfully and now spans over 145 brands with a wide mix of global, regional, and in-house brands. During the year, we added several well-recognized international brand partnerships such as Gordon Ramsay, Nando's, and Wagamama, which have further strengthened our premium positioning across key airports. At the same time, our in-house brands like idli.com, Cafecchino, and Delhi Street, to name a few, and regional brand partners like Sri Krishna Sweets and Bikanervala continue to play an important role in driving localization and relevance across different geographies.

A key area of focus for us has been curating differentiated food and beverage experiences for passengers

. This includes introducing regionally inspired menus, premium dining formats, and experiential offerings across both travel QSR and lounges. At our travel QSR outlets, we introduced specialized breakfast, regional menus, innovative beverages, such as Signature Filter Coffee and Boba Tea, value-led combo offers to cater to evolving customer preferences. Within lounges, we have enhanced customer engagement through seasonal activations and thematic offerings, including festival-led menus and experiential formats. These help drive higher dwell times and increase the frequency of visits. During the year, initiatives such as culinary masterclass with Master Chefs and food festivals like 'Swad-e-Watan' have seen strong customer engagement and participation.

Further, we continue to make steady progress on upcoming opportunities. With Noida Airport on track for commencement of operations in the coming months, and this continues to strengthen our committed pipeline and visibility for further growth.

On the technology front, we continue to make steady progress in our journey towards becoming a tech-enabled travel hospitality company. FY26 has been a landmark year in this regard with the launch of our EATS platform, enabling direct bank-to-lounge access as an integrated service. The platform has been stabilizing well and we are encouraged by the response. Our EATS platform remains a key enabler, enhancing customer access, improving convenience, and supporting our ability to drive higher engagement and monetization. As we look ahead, we are also working on the addition of ancillary services on the platform to further deepen customer engagement and unlock incremental revenue opportunities.

Our financial performance also reflects our strong and disciplined execution. For the fourth quarter, our system-wide sales grew by 27.7% year-on-year, and consolidated PAT grew by 15.1% year-on-year. Similarly, for the full year, system-wide sales grew strongly by 25.4%

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year-on-year to INR32 billion, and adjusted consolidated PAT grew by 21.5% year-on-year to INR4.5 billion. This was achieved against the backdrop of a year that saw just about 1% passenger traffic growth across airports, therefore clearly showcasing the strength of our commercial model.

I would also like to highlight the importance of our people. We have continued to invest in building a strong organizational culture, focused on performance, collaboration, and customer excellence. We have been recognized as The Most Admired Retailer of The Year 2025, for

Employee Practices at the MAPIC Awards, and have been certified as a Great Place to Work for the second consecutive year. These achievements showcase the strength of our people practices and our continued commitment to building a high-performance organization. Looking ahead, the near-term macro environment is likely to remain dynamic, driven by external factors such as geopolitical developments, airline capacity changes, and input cost pressures, which can impact passenger traffic. We are closely monitoring these developments and have the action plans and clearly the experience, to execute efficiently to navigate the evolving landscape effectively.

At the same time, I remain very confident in the long-term growth trajectory of the Indian aviation industry, and our focus will be on capturing the opportunity as we navigate any short-term disruptions. We will continue the mobilization of our committed pipeline across new airports and terminals. Further, based on our initial success in Malaysia and Hong Kong, we are actively working towards expanding our international footprint through new lounge opportunities as well. The company is also exploring wayside amenity opportunities at access-controlled expressways, a segment backed by strong govern

ment intent and investment plans in the medium-term.

With that, I would like to thank all our stakeholders for their continued support. I will now hand over the call to our CFO, Vikas Kapoor, who will walk you through our financial performance in more detail.

Vikas Kapoor: Thank you, Varun, and good afternoon, everyone. I will now discuss in detail the financial performance for the fourth quarter and the full year.

For the fourth quarter, system-wide sales reached INR9 billion, registering a growth of 27.7% year-on-year. This growth has been supported by like-for-like growth of 6.1% year-on-year and net contract gains of 17.3% year-on-year in the quarter. Like-for-like growth reflects the continued impact of our focused initiatives around menu engineering, premiumization, and customer-led innovation, which has helped drive higher throughput and sales. Net contract gains is driven by mobilization of new units across key airports. At a consolidated level also, revenue grew to INR4.6 billion, up 25.7% year-on-year, driven by like-for-like growth of 9.4% and net contract gains of 21.3%.

Gross profit margin increased to 87.3% compared to 83.0% in the same period last year. This improvement was led by strong sales growth, higher contribution from value-led combos, and procurement efficiencies. In addition, there was a one-time reclassification of INR78 million Travel Food Services Limited

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cost of services from cost of goods sold to other expenses. Adjusting for that impact, gross profit for Q4 would have been 85.6%. Correspondingly, other expenses increased to 33.6% of sales, primarily on account of lounge aggregation business-related service costs now being shown in this line item. Moving to operating profit for the quarter, EBITDA increased by 38.3%, benefiting from lower manpower costs and flow-through of higher gross profit.

Now, if you look at the bridge from EBITDA to PAT for the quarter, the following factors need to be considered. A one-time provision has been created for litigation-related matters on a prudent and a conservative basis, though we believe our position on these matters remains strong. Share of profit from JV and associates declined year-on-year, primarily due to a higher base in one of the JVs, where there was a higher deferred tax reversal in Q4 of last year, which we had also highlighted in our Q1 FY26 call. Hence, overall, PAT grew to INR1.2 billion, registering a growth of around 15% year-on-year.

Moving to full year performance. FY26 has been a strong year of growth and execution, despite being characterized as a year with passenger disruption. Before I go into the detailed numbers, I would like to briefly touch upon the accounting treatment relating to our JV entity, Semolina Kitchens. This entity was consolidated in our financials until October 14, 2024, and was subsequently deconsolidated. Accordingly, to ensure a like-for-like comparison and consistency in performance evaluation, FY25 numbers have been adjusted to exclude the impact of Semolina Kitchens. The details of these adjustments are provided in the investor presentation. System-wide sales for FY26 reached INR32.1 billion, registering a 25.4% year-on-year increase. Like-for-like sales growth stood at 9.4%, supported by strong execution across markets, while net contract gains were 13.1%, driven by network expansion across key airports. At a consolidated level, revenue from operations grew to INR16.5 billion, representing a 13.9% year-on-year growth on an adjusted basis, driven by a like-for-like sales growth of 6.3% and net contract gains of 8.8%.

In terms of revenue mix, our business continues to remain well balanced across both travel QSR and lounges. This balanced growth shows

the strength of our integrated platform, with travel QSR benefiting from throughput and menu-led initiatives, and lounges benefiting from premiumization and higher dwell times at airports. Travel QSR forms nearly 55% of the consolidated revenues, and lounges form 41%, with 4% being contributed by management and other services.

In terms of profitability, we have seen margin expansion supported by operating leverage, scale efficiencies, and disciplined cost management. For full year, gross margins improved to 84.7% compared to 81.7% last year. Employee costs remained well controlled, reflecting productivity gains and operating leverage from scale-up across locations. Consequently, EBITDA was INR6.5 billion in FY26, an increase of 21.3% year-on-year.

Profit after tax for FY26 was INR4.5 billion, reflecting a strong growth of 21.4% year-on-year, driven by revenue growth, margin expansion, disciplined cost management, and higher contribution from joint ventures due to faster mobilization of units in the JV.

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As of March '26, trade receivables are higher by around INR1 billion, due to the initial ramp-up of our EATS business, which we are seeing to normalize by end of H1 of current year. Our balance sheet continues to remain strong. We remain a zero-debt company with a healthy cash and investment position of approximately INR8.4 billion, as of March 31, 2026, providing us with significant financial flexibility to invest in growth opportunities and support long-term value creation.

Overall, FY26 reflects a year of strong growth, margin expansion, and disciplined execution, despite multiple short-lived disruptions, highlighting the resilience of our business model.

Company is happy to announce an annual dividend of 10.25 per share for FY26, subject to shareholder approval.

Looking ahead, as Varun mentioned, while the near-term environment may remain dynamic, we remain confident in the structural growth drivers of the aviation sector as has been proven time and again, and in our ability to continue executing on our growth pipeline. We remain focused on maintaining this momentum through continued scale-up, operational efficiency, and prudent financial management.

With that, I will hand it back to the operator for Q&A session. Thank you very much.

Moderator: Thank you. We will now begin with the question-and-answer session. Our first question comes from the line of Achal Kumar with HSBC. Please go ahead.

Achal Kumar: Hi. Thanks for the opportunity. My first question, I just want to understand, how do you see the first quarter and especially given the fact that the last year's first quarter was impacted by India - Pakistan, and we are already in mid of May, what kind of indication are you getting or you can share, in terms of trading in the first quarter, please?

Varun Kapur: Hi, Achal. Varun here. Thanks for your question. So, in terms of where we are seeing it, I can maybe talk a bit back and give a sense of how it's looking at right now. So, where we saw it kind of the year start-off and I think the calendar year, which is our last quarter of the financial year, January actually was quite strong as one would have seen anecdotally at airports and even in our numbers we were seeing that.

February, I would say, started off a bit strong, but because of the last few days showed a muted growth. And I think obviously, the war effects hit off in March, so we saw March, a dip come largely fuelled by a drop in international traffic. That continued to April. April probably was actually slightly worse off than March, probably similar to as you said for May, April was a strong year last year, so we saw year-on-year across airports a bit of a depressed growth. Now May, we're in early, I think we're in the month of May, but early to get the traffic

data out,

because that comes a bit later. But the signs are May is showing improving trends in passenger traffic. And, obviously from a base of last year, it's showing much better, but I think even just from a trend versus what we saw in March and April, there seems to be a clear improvement in trends playing out in May.

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Achal Kumar: Right. And in terms of full year FY27, what sort of inorganic growth you think you could achieve? And do you see any risk from the political changes in West Bengal in case the Kolkata Airport goes to Adani? What kind of risk do you see from there?

Varun Kapur: So, I can maybe talk in two parts. First part, I think for this financial year, see while we don't particularly talk on the numbers, but I think what will be relevant for you to look at is normally the most important indicator for us as it has been, I think it's been quite clear for one looking at the stock over period is passenger traffic. Obviously, our commercial model success is the fact that, in spite of traffic being weak, we deliver delta in terms of performance.

But in terms of passenger performance, last year was, leave aside the year of COVID, which I think was an exception, but last year, probably in the last decade, was a year of unexpected multiple short-term disruptions. Therefore, traffic was just about a little more than 1% for the whole year, which is very rare, right. It used to be 8% to 9% levels historically, as the annual passenger traffic growth.

I think the first quarter obviously of this year is continued to be affected by the war-like situation. But with the bounce back expected in the year, and expected to get back to normalcy, one can probably expect somewhere, I think whatever you read in the public forums, and in reports is generally the expectation of recent is FY27, maybe a 5% passenger traffic kind of a level is what's anticipated. I think that's again a lot of these things you essentially see as time passes.

In terms of your second question, I think so the government obviously announces privatization of airports, and it's obviously a national subject. So, in that sense, there is a clear pipeline of privatization. It is normally announced well in advance and then these things move towards fruition.

So, I think obviously, post-COVID, that pipeline was announced. There are currently 11 airports that had been called out much earlier for privatization. The government I think has reinforced that number as well, and the name of airports, and the set of airports have been combined together. So I don't believe that has changed and probably, I don't think Kolkata for example being added in or anything or any changes at a state level currently may change that privatization schedule, at least what's public in terms of information that we've seen around it.

Achal Kumar: Right. And then my final question is around the pricing environment at the airport QSRs and business lounges, especially given the fact that energy prices are escalated or increased. So, you guys are able to pass on that pressure to the customers, or do you see that could actually have an impact on your profit margins?

Varun Kapur: One thing just to make note, one is obviously input cost pressures generally are there, but if you see particularly our industry, as a starting point, a large part of our real estate in any event is on electric equipment by nature of being in airports. So that's a nuance of our business is very different to many other F&B players, that natural hedge is just there in this time. But aside from that, the inflationary pressures on the ground on food have not played out as significantly, probably I'm guessing as some other parts of the economy may have mentioned out.

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So the

re are elements playing out in food in terms of inflation until now, I think whatever we read, I think has been around the 3% to 5% mark in April. So, we've been able to manage that quite effectively. Plus, I think that much you pass on to consumers in the way we are operating, it is an environment where we take price hikes in line with inflation. But currently we're not seeing anything dramatic on food inflation playing out.

And also, our supply relationships tend to be anchored in annual contracts for many of our key products. These are larger suppliers. And therefore, on their side as well, I'm sure they hedge and all play out when they do with large players like us, annual contracts. So, we've made our business model quite robust, in terms of how we deal with these year-on-year, irrespective whatever the underlying reason is. But I think our business model itself, our commercial model is quite robust in dealing with these situations.

Achal Kumar: Okay, perfect. Thank you so much. I'll come back in the queue.

Varun Kapur: Thanks, Achal.

Moderator: Thank you. Your next question comes from the line of Akshay Krishnan with ICICI Securities. Please go ahead.

Akshay Krishnan: Hi, thanks for the opportunity. So my first question is on the airport side. Now we've been seeing that the airport is actually getting sophisticated, with a lot of F&B standards, also the lounge operations have been growing up, because you have the aspect of more international brands that's coming in. So, the part of the question is, are we seeing the airport operators retaining the higher concession fee? And how should we think over the long-term sustainability of the TFS economics in this?

Varun Kapur: Yes. Thanks, Akshay for the question. I mean this has been a trend throughout. Obviously, what's generally changing and accelerating in a country that's fast growing like ours, is per capita income is rising, people wanting to travel, people wanting to experience. So therefore, undoubtedly, F&B, I think that's a general trend even on the high street, people are spending more money towards experiences, F&B dining, premiumization, very much obviously, playing out to a much greater degree in airports.

So the first part of what you said very true, we are getting the brands I mentioned earlier when I was giving my initial intro, I spoke about some brands, Nando's, Wagamama, Gordon Ramsay, considered world's most famous chef, those brands coming to India, opening first in airports,

like a Gordon Ramsay came with first store there in airport. That's opening up experiences for customers and Indian consumers are excited by , they understand these brands. And yes, there's a good amount of spend going there.

At the same time, the point on concession fee, that's a normal exercise. That comes up whenever there's a – I don't think there's anything changing there. These are constant rental discussions that at every point in time, some rentals you're paying more, some rentals you're paying less, but it's a portfolio approach. So, across our real estate, we look at the portfolio. That's why our presence is not driven by any individual store, it is driven by entire approach across the Board.

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So, there's nothing dramatically different. This is constant as it would be and that's how the rental model runs.

I think our skillset is our commercial model , our scale , allows us to deliver the profitability we do, irrespective of any of these situations, which is a good example would be this year right, one would expect with a traffic number just being about flat or 1%, but we are still able with our commercial model to deliver delta in terms of performance. And I think that's w

hat is the

ability and the scale that our company is able to do.

Akshay Krishnan: Perfect . My second part of the question is on the lounge business. So, we've been seeing the banks metrically tightening up the credit cards and the swipe systems. Now have we reached a point or is there an inflection state, wherein the consumer, the lounges are more being driven by the consumer habits or is the industry still heavily dependent on the bank funded access of the lounge ?

Varun Kapur: Yes, no doubt. So, lounges I think starting off are proving a very important element for the consumer journey. Just premiumization, lounges are a great avenue for that. But if you see in reality, a lot of the news on banks or credit cards etc ., reducing access or this has actually been happening. If you're to look back for the last 18 months, so every quarter obviously, there's a bit of news but it's actually been happening for 18 months.

But the reality, the way it's happening is, so the larger part of credit cards, no doubt is if you could call it that is the mass market credit card pool, right. Those area is where the growth is much less. In terms of new cards coming in. And those are the areas banks are looking and saying, okay, that consumer maybe spends a bit less , so therefore, restrictions are there on access.

But in reality, the other end of the segment, which are your premium cards and from whatever you read out there, premium cards are growing versus maybe probably high single digits for the mass market, low double digits, premium cards are growing in a completely other end of the spectrum of more than 50%.

You read any sort of numbers out there in different reports, so that segment is growing dramatically fast for banks, because of premiumization , and that is where actually access is going the other way. So many more cards than before are now giving unlimited lounge access or you even take a guest , like you go for some of the premium cards, you can actually take a guest out there.

So what's happening I think Akshay, very clearly is that the market is diverging and banks are approaching it from a nuanced perspective. Saying okay, mass market card, you spend thresholds are being introduced, you spend more I'll give you access. Whereas the premium cards, where consumers are coming in maybe paying a entry fee or they have a very high spend already, and they are getting actually more access.

And in reality, if you actually go and scratch below the surface, the reality is the premium cardholder is your frequent flyer. So mass cardholder may fly once in six months for a holiday

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or for work. The frequent flyers, who may be going three, four, five times a month, are the guys with premium cardholders.

So for us, it actually matters that consumer is coming five times, spending five times, versus the mass market cardholder who may have three access in the year, but he probably flies three or four times in a year. So in reality that's why you can see our numbers actually , even though this has been in play for 18 months being quite strong through this entire period as well.

Akshay Krishnan: Right, got it, got it. Very true, sir. And one final question on the EATS. This is becoming more valuable. So my question is it more on individual airport concession part or should we think that it's purely it is a support layer of existing businesses?

Varun Kapur: In terms of sorry, I missed that question Akshay

Akshay Krishnan: Could EATS become more valuable than an individual airport concession part or should we

think that purely it is a support layer of existing businesses? So, what are the growth levers for the EATS business do you foresee in the medium term basis?

Varun Kapur: No correctly. So, I think EATS is obviously a technology platform that we put in place that provides a direct , basically , a LAM or a

Lounge Access Management for banks and card networks for a direct bank to lounge access.

Now that is where it starts off , obviously starts focused on our biggest reason was customer experience improvement . You understand the consumer better, you work with your banking and credit card partners, network partners and say okay different experience for different consumers. Someone goes to A lounge, someone goes to a VIP zone, someone gets complimentary - say during an IPL match I want my premium customers to get a beer at the bar, you can access that because you're today directly talking to the lounge operator, us , through our own technology platform.

Now that is where it comes in. And I think at the next level, so while this puts in and obviously builds also to some degree a financial upside as well. But also , tomorrow once you have a platform in place, additional services right, today we are providing meet and greet , doing porter services in airports, we're doing that in some of our airports we have lounges. What stops you from integrating that in step two ? And that's the plan.

So, once you have this platform once users are there, once tie -ups are there, you leverage, you add value and that's the advantage of having that direct connection. So, no doubt it's both , it makes consumer experience better which is a starting point, it makes it seamless , but also provides tomorrow , obviously better financial upside , but tomorrow larger growth opportunity.

I think it addresses all three avenues which is why it was a critical area we worked on and successfully executed in the last year.

Akshay Krishnan: Okay got it, got it. And one question, if I may, The Q4 EBITDA margin was particularly stronger. Now if we look at what is the margin improvement was structurally versus the temporary benefits and how should we look at going forward?

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Varun Kapur: I can ask Vikas to jump in here and take you through those as well.

Vikas Kapoor: Yes sure. In terms of the margin that we have seen specifically on the gross margin side, as I mentioned, we did have a one -off reclassification of cost of services of roughly around 78 million. But even if you take that impact out, you are roughly around that 84% on a Y-o-Y basis -- on a full year basis.

Like I have said in the past, that due to the procurement efficiencies and the scale at which we operate, our gross margin will be in the range of 80% to 83%. What we have also seen is, as a go-forward, we do anticipate a bit of inflationary impact due to the Middle East conflict in terms of the LPG p rice increases and various other factors. So, we believe that our gross margin for the next year will be in the same threshold of 80% to 83% on an overall basis.

Akshay Krishnan: Okay. Thank you and good luck, sir. Thank you.

Moderator: Thank you. Your next question comes from the line of Purva Zanwar with 360 ONE Capital . Please go ahead.

Purva Zanwar: Hi. Thanks for taking my question. So, I had a question on the new contracts, which you got for Bhogapuram Airport . So, can you specify a little more details about it, the number of outlets and the tenure and when should it start contributing?

Varun Kapur: Yes. Hi Purva . So in terms of Bhogapuram, it's one which we've got, it's under GHIL where we're operating there . Bhogapuram is a new Greenfield airport coming up in Vizag. There it is a long term contract once again that we've got in that place. And in that mobilization, while the exact phasing and all may happen, but roughly, our anticipation is probably, we look at about seven outlets happening originally, and probably as we get closer to the date, we'll share more details around the mobilization and other aspects of that contract.

Purva Zanwar: Sure. And the second was that finance cost has increased drastically. So, what could be the reason for the same?

Vi

Vikas Kapoor: Hi, Purva. So our finance cost has increased mainly on account of a provision for litigation matters that we have made during the year of roughly around 212 million, which has been provided. While we are on a conservative and in terms of our own contention we believe that we have a strong case on merits , but as a matter of prudence, we have provided the full amount of 212 million in the finance costs.

Purva Zanwar: Okay. And lastly, you mentioned that because of the scaling up of the EATS business our receivable, days have increased. So can you just explain in detail more what led to this increase in receivables?

Vikas Kapoor: So, as you are aware that we kick started our EATS business somewhere in the Q3 of this year

or more towards the start of December, wherein we were tying up contracts with various banks and card networks. So, a large part of the EATS billing and the revenue unlock that has happened between the last 4 to 5 months.

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From that perspective, this was a new relationship that we were developing with the banks in terms of operational efficiency, billing procedures and the cross checks that the banks wanted in terms of system efficiencies and integrations, the debtors for the year end have shot up to roughly around INR264 crores from an average of INR100 -110 crores that we have seen. But what we believe is this is the current collections that we have received subsequently, as well as overall basis, that this should normalize by the first half of this year, and we should be back to our average of around 40 to 45 days of outstandings.

Purva Zanwar: Got it. Thanks. That's it from my side.

Moderator: Thank you. Your next question comes from the line of Aachal Pal with MNCL. Please go ahead.

Aachal Pal: Hello. Yes, hi. So, my first question is on how should we view traffic growth trend across key airports especially after disruption related to Middle-east conflict?

Varun Kapur: Yes, thank you for your question. So, in terms of the way I think you look at traffic and probably relating it back to what I mentioned earlier. So, for the full year obviously saw traffic as I mentioned, about 1%, just over 1% for the full year. Now this started as you go into particular Q4, this was a thing where January was a bit up and then we saw February flat and March being the one where the depression happened.

You can look at that basis, And the main reason for that has been international traffic.

International traffic saw nearly a double-digit dip during the March and that April period. So while domestic was quite robust, it was largely flat. It was actually international traffic and more in airports that are in the south that are flying to the Middle east more and a few other areas which have international traffic like Goa Dabolim and other airports which are a bit more affected. So, we saw those type of airports being traffic logically going down a bit more.

Aachal Pal: Okay, second is on the lounge business side. So, are we seeing any challenges as the growth has moderated slightly?

Varun Kapur: Actually -- it's quite robust if you see the numbers potentially probably it's been more robust.

So obviously the factor which is played out has been traffic. So obviously irrespective of traffic, I think we've been able to grow if you look at our, whether you look at our, system-wide sales or consolidated. But if you look at broader perspective, system-wide gives you a perspective of the entire business. Our sales have grown for the year 25% more than that, gives us that even though traffic has been just 1%, sales still have grown quite robustly out there.

So that's where we've been able to, whether it be travel QSR or lounges, we've been able to grow quite strongly and keep it independent, While yes, the tax is a key determina

nt. And yes,

if tax numbers were better, I think the year could have been even more superlative. But I think that's where the robustness of the commercial model steps in.

Aachal Pal: Okay, and so how are we seeing the revenue ramp up trajectory for newly added outlets and airport lounges?

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Varun Kapur: It's quite strong. So we're seeing traffic generally across the board coming back quite well in May. I think that you've seen, anecdotally happening from what was there the weakness in markets. I think that's been evident throughout the last year. Every disruption that's been there, just bounced back so quickly. Just showing you that, I think no one doubts the long term structural story, but obviously even on the short term, it's surprising with the speed at which the recovery happens, obviously the amount of disruptions that happened last year, still for a PAX growth to happen, has been something that has been very robust.

So, I think that continuation of recovery looks to be very much on the cards now. And especially once the war like situation, which you all hope gets resolved at the earliest, the anticipation is that the demand will be strong. But like I said, domestic is still maintained to be quite robust, irrespective. I think it's just this element of international traffic which logically does come back when the Middle east places open, when some of the pressures around crude hopefully fall away.

The combination of those would have an effect on getting a bounce back in that traffic.

But yes, currently you can see domestic actually probably recovering and likely with some of the travellers who are planning maybe international, are actually going domestic. And you may fly more domestic, you may fly one international trip cost X, you may spend domestic half of that, or maybe one-third of that, and you therefore could take three trips.

But for us, we are agnostic to whether a consumer is international or domestic, because he

ultimately spends on food or something like that , a similar type where for an airline ticket, yes, you spend more, but for food it's not that you're going to eat more International versus domestic. So actually to some degree, as the bounce back happens and hopefully domestic comes back quicker, it may actually have a positive effect of the bounce back.

Aachal Pal: Okay, got it. So my last question is any new airports in the pipeline that the company is bidding for? And also what would be the capex plan for the next two years?

Varun Kapur: So, I may let Vikas jump in for the capex, but as a general plan, we do look at airports in this sector consistently. So as opportunities come , we constantly bid for them . We obviously look at the larger airports. As you're aware from our scale and size today present, I mean the entire footprint is 20 airports , obviously Bhoga puram and Noida coming up. Two more airports are currently in the works in the coming months. So that's the pipeline.

At any point in time you have multiple outlets in the pipeline , which we also currently have . I think it's roughly about more than 50 outlets currently in pipeline. It's a site for many future bids and all these are things already committed. So, we have quite a robust pipeline. We've always had it. I think every one who has been part of our calls, every quarter we've been quite strong in terms of openings. That looks to be even stronger going forward. But yes, the sector, irrespective of short -term disruptions , looks to be very robust. And maybe Vikas, if you like to jump in on capex.

Vikas Kapoor: Thanks. So just to add to what Varun said, we do have visibility of more than 50 odd outlets in the pipeline, and we expect the capex on an average to be in the range of INR50 crores to INR60

crores every year , which would also be the case for FY27. The capex would be predominantly

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for mobilization of units that we have to do to fund recent concessions of Delhi, Cochin and upcoming Noida projects.

Aachal Pal: Okay, thank you so much.

Moderator: Thank you. The next question comes from the line of Praneet Kumar Reddy with Kotak Institutional Equities. Please go ahead.

Praneet Kumar Reddy: Hi. Thank you for the opportunity and congrats on good set of numbers. My question is to understand the steady state LFL for the business. So, the objective is to understand what percentage of LFL growth can come from pricing and premiumization, and what percentage can come from rapid growth and penetration. Just to understand the breakup of LFL that you are looking at in more of a steady state?

Varun Kapur: Yes. Thanks Praneet , thanks for your good wishes. Thanks for the question as well. So, in terms of, what we've seen , a general trend we tend to see historically, and its' been playing out, at all points , so when we look at it, our LFL is normally divided into three components, In one part is passenger traffic, which again largely out of the hands. But that's driven by what the airports -- so normally in India, we've always seen kind of a 7% to 10% level of passenger traffic historically. But this year, like I said, was a year of multiple disruptions. You saw that quite wide from that. But that's been the level.

And then on top of that, what we see above that , a combination of price inflation, that obviously influences the growth , and the LFL plus our initiatives. So maybe 5%, 6% price, 5%, 6% our initiatives could be around -- changing a brand, could be around combo offers, could be around new products in a unit , premiumization that we play. So multiple levers like that every year we're doing something.

I mean, if you go to our investor deck, we can't put every single marketing probably every month. We have multiple initiatives, but we just give you a flavour of what we do in every quarter. We try to add something that can give a sense of flavour to stake holders about what's happening. So in a sense, all of that kind of coupled together, you can say kind of pax plus roughly, maybe somewhere in the range of 7% to 10% incremental above that is a combination of price plus initiatives. So that's the best way to look at, it in terms of you add and kind of look at LFL.

Now again it's you want to look probably look at it over a year , because you have elements that play out new outlets opening in certain terminals. Some outlets changes all of that. But over a period of a year, it tends to average up to that general rule. We've seen that play out over the many years we've been operating in the segment.

Praneet Kumar Reddy: Got that. Thank you for that. And my second question would be on the capital allocation part.

Now we have a strong cash balance of more than INR8 billion, including investments. And that's as it was called out capex requirement might not be more than INR60 crores. Now what is our views in terms of capital allocation? And how do we see areas like duty -free or retail in the airport space itself? Is that an area of interest for you or we are just focused on F&B part of business ? Thank you.

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Varun Kapur: So yes, I think the cash we've been quite disciplined as a business over the many years. And you can see that, we are hopefully in a quality of earnings. We make sure that ultimately cash is king. So, we made sure consistent part of generating cash, building up a reserve and obviously investing it as well.

I think this year, like Vikas spoke about the investments, we already have visibility. Obviously new opportunities come international lounge piece. The sector, if anything is growing exponentially, our

ability as a company today where it is not only catering to the sector in India, the speed is growing. And I think in the next few years will be probably the best period for Indian aviation. I think in every statistic you see that call out.

But in terms of even the opportunity with the scale and size we have, and the success we've seen in international lounges, that's a very, very attractive opportunity for us to go globally. We've already gone, as you know, into Malaysia. We've gone now, we've opened a second lounge in Hong Kong in the last quarter, showing our continued success in that area in coupled, on top of that as well, expressways, what the government is currently doing.

Again, it just started. The investments have started. This probably is a bit more long term opportunity, but we've got today the capital to be able to do that. You know, we're completely debt free. And so, I think the combination of looking at those opportunities is strong. And as you can see, our ROCE have been at north of 40%, about 45% ROCEs. So very compelling investments.

We're quite disciplined about it. We have been quite disciplined about it throughout our period.

I think it's not that something that's come now. It's been the last, since very beginning last 17 years of being there have been clearly driven, built on those principles which are very much part of our DNA. So, I think that's the way we approach investments. And the ability obviously, we've got these funds and we'll continue to make prudent and aggressive use of it. I think a good combination is the right way to look at it.

Praneet Kumar Reddy: Thank you so much.

Varun Kapur: Thank you.

Moderator: Thank you. Your next question comes from the line of Sanjay Ladha with Bastion Research. Please go ahead.

Sanjay Ladha: Yes. Hi. Thank you so much for the opportunity. And congratulations on a good set of numbers, sir. So, I wanted to understand our strategy on international markets, since we are so much focused on international market, how the SSP group has given us the LOI for Middle East. And you are also talking about Hong Kong and Singapore. How we are placed on and what is the strategy going forward, is there similar to Indian domestic market or we are doing something differently over there. How -- because these markets are already there and they are, quite mature compared to Indian market. So how you think on that side?

Varun Kapur: Thank you for your question, Sanjay. And thanks also for your good wishes for our results. So, in terms of where we see and the right question, so where we see our opportunity on Travel Food Services Limited

international. Yes, we have been a very successful business in India. We've become a market leader clearly, in the segment of both travel QSR and lounges.

What we do see, and we call this out even, when we had come on previous calls as well, that we do see the international lounge opportunity or lounges, particularly going through a very interesting, as you say, a development globally. I think India has been largely at the forefront of it, but you're seeing that trend play out globally, more and more lounges coming in. And these are not only airline lounges, credit card, other services, banks. This is happening globally across. So, the opportunity of what I think we've done in India, in terms of lounges being a bit ahead of what's happening globally, and taking those learnings and actually going globally.

The fact what we did, we were very successful in Malaysia. We expanded the footprint considerably there now to three airports. In Hong Kong as well, we opened one lounge in the previous year. We've opened one lounge now in the last quarter as well. We've opened, part of that strategy, we've opened a subsidiary in Dubai to look at Middle

East opportunities. We're

also looking at Indonesian market, a very large market, we've opened a subsidiary there as well, in the second half of last year.

So these are clear opportunities for us. Our skill set which is there, which is the advantage of it, a lot of the relationships we built up over decades, whether it's your airline, whether it's your card networks, lot of these are relationships that transcend borders, right? The same card

network, the same airlines are there in every country.

So, developing those relationships for over a decade when we go in those markets, coupled with Sanjay to what you said as well, rightfully so, the SS P presence in these markets. They are there on the travel QSR side, they've been many of these markets for years. You know, leveraging that relationship, they know who the right contractors are to here to construct outlets. They've had experience, they have suppliers in place. So therefore, our journey to go in is assisted with that as well, when a key stakeholder has that. So therefore there's a clear right to win for TFS in that segment. And that's why we're very clear strategically focused on this area. And we're confident to deliver on it over the next few years.

Sanjay Ladha: Sir but all these, international expansion would be, with our parent entity or we see as a stand alone entity going outside there as well, how these things?

Varun Kapur: The starting position always you go as a stand-alone entity, but if you have, the ability to take advantage of, it could be SSP because obviously they are as a key stakeholder, they would provide assistance, but it could be other partners as well. So, those are decisions that are taken based on the rationale or the benefits of each opportunity. So that is on a case-by-case. But yes, the starting position is always to go and look at these opportunities on a stand-alone basis. That's the way we strategically look at it.

Sanjay Ladha: Sure. So my another question would be on growth prospects. So wanted to understand that the industry volume over the longer term is expected to grow by 9% to 10%, as you rightly mentioned in, in the con call, and our LFL growth remained at around 9% to 10% with inflation at 3% to 5%.

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So combining all together, it is it fair to assume that, without adding new airport, our revenue growth should be, roughly at around 22% to 25%. And this is there over the last years as well, so is it the right understanding? So I'm not talking about for FY27 onwards, I'm talking about 3 to 5 year time frame wise, therefore I am asking this.

Varun Kapur: So, while I won't call out an exact number where I would sit on because, external factors, but just using your logic that tomorrow, yes, if traffic comes back to levels we're used to of 9% to 10%. And on top of that, what – yes, we have seen historically that 7% to 10% delta in terms of, combination of obviously inflation plus our initiatives as well. Yes, with that kind of underlying thing, one would expect to see, you know, 18%, 20%, around that part of LFL, I think would be a normal perspective.

Obviously, our business is a combination as our results show of quite healthy LFL plus net gains, right? We're in a market which is fast growing where, India is, from any sort of statistic, where today our population at 1.4 billion, we have just 30% or 0.3 of our population flying. I mean, don't look at the U.S. I always give the example, U.S. is at 5.5 times its population flying. But even China. China is almost you know more than one time it's about almost one time its population flying if you see it at 1x.

So we are already 0.3 versus 1x of the population. And China ten years ago was at the same statistic of about 400 million passengers. And India, the way we are growing, the propensity to spend, the way today, per capita, the way the government

is doing initiatives around, fuelling

the aviation industry, there's no reason we should actually do it quicker. So, that's why we're very bullish on the trajectory of Indian aviation, as I think both Vikas and me very clearly stated. And I think that's something across the sector that anyone in the sector has that very long term approach undoubtedly.

Sanjay Ladha: Sir. My last question would be....

Moderator: Sorry to interrupt, Sanjay, sir, we request you to return to the queue. We'll move on to our next question. Our next question comes from the line of Achal Kumar. Please go ahead.

Achal Kumar: Yes. Hi. Thanks for another opportunity. So basically, one, I wanted to understand how do you see this, Mumbai airport allowing Blinkit to set up a shop and deliver at the doors or at the gates. So do you see it as a threat to your business and what happens if it expands beyond Mumbai?

Varun Kapur: Achal hi. So, in terms of this particular thing, not would be exactly relevant for us because obviously what it is, is more of a retail, So retail presence while obviously doing this with Blinkit and, not something that we're monitoring or doing, how successful or not it is, but generally retail presence has always been there at airports. People are there already, there are shops, they have smaller footprints, limited products. Probably what Blinkit is trying to do is that some products which can't fit in there, they'll have some presence outside. So you order it and you can get it for consumers because otherwise, you see these shops in airports that do, chocolates, books, other retail products, etcetera, etcetera. I mean appare I, whichever it is.

So that's one piece. I mean, guess from our point of view, ultimately an airport F&B is very different, right? As a starting point, we already have food at gate. I've spoken many times on it, Travel Food Services Limited

which is where we already delivered to gates. We have grab and go all of that. Plus ultimately food, unlike retail where you have dark food, you need to pick it up from the stores. In an airport, assuming we operate the stores, we are providing that through food at gate. We are providing that already there. So I don't see how it very different probably from food I guess is more of a pilot, it probably Blinkit's trying in terms of seeing from a retail piece. But yes, surely not relevant to food as a piece because, that's a bit different where that's you order from your favourite restaurant that comes to you. It takes some time for delivery in there. This has got a secure area.

So retail, you probably keep some products in the secured area, food you need actual kitchen, which is where the outlets is already operating in the airport, have that kitchens, those type of things is probably the way to look at it.

Achal Kumar: You're right, you're right, Varun. that there are other shops, but of course they are selling it at sort of MRP. And that that could make a huge difference, isn't it?

Varun Kapur: Yes. But in the food you won't like, for example, like they would be selling more retail products or something, person coming to the F&B outlets would come for the F&B experience. They would come for the brand, they would come for those elements, which today also you go to a retail shop in the airport, you can buy a food item or something there.

So in other words, the food experience you're coming for. And ultimately if to deliver on the food, there was always, vending machines CTN and anyway, was there in an airport. So in terms of this, this probably addresses by saying, okay, items that are not there, I'll have a dark store. I can maybe get those items to you, something of that nature.

Because I mean, visibly, I don't know how it has actually done, but from a food point of view, you can't do that, right? If you want a dosa, you want a food product, you want a

burger,

ultimately it has to be made at a kitchen and produced. So, I don't see it -- unlikely to happen from a food angle play out in that manner. Probably very different consumer subsets there, so there's no really probably overlap in a consumer need state with them.

Achal Kumar: Right. A small confirmation just to cross check, this Terminal 3 is going to move to your, GHL in September, right? Is that confirmed?

Varun Kapur: No. So our, tender for Delhi T3, which we've always called out was expiring in February. I think we also mentioned that we got a short term extension on that for six months. It was operating through a special purpose vehicle, which had a life tied into that concession.

So obviously when it comes up, we look to bid from our existing JV, which is GHL, because obviously that -- when that expires. So which was supposed to happen in February, it's got a six month extension there.

Achal Kumar: Okay. Perfect. Thank you so much.

Varun Kapur: Thank you.

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Moderator: Thank you. Ladies and gentlemen, we will take this as our last question for today. I now hand the conference over to the management for closing comments.

Varun Kapur: Yes. Thank you. Thanks for that. Thank you, everyone for joining in. And thanks to the ICICI Securities team for hosting us. And we genuinely appreciate all of you taking this time today, joining us for this earnings call, post our Q4 and full year results. If you have any further queries as well, please feel free to reach out to our Investor Relations team. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you, everyone for joining us. And you may now disconnect your lines.